

COVER SHEET

[illegible]

SEC Registration Number

[illegible]

(Company's Full Name)

[illegible]

(Business Address: No. Street City/Town/Province)

Leandro E. Abarquez

(Contact Person)

+63284034007

(Company Telephone Number)

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Month Day
(Fiscal Year)

1	7	-	Q	
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(Form Type)

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Month Day
(Annual Meeting)

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(Secondary License Type, If Applicable)

Dept. Requiring this Doc.

Amended Articles Number/Section

4,188

Total No. of Stockholders

Total Amount of Borrowings

Domestic

Page 10

Foreign

To be accomplished by SEC Personnel concerned

[illegible]

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LCU

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SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended : 30 September 2025
2. Commission identification number : 808
3. BIR Tax Identification No. : 000-162-935
4. Exact name of issuer as specified in its charter : Dito CME Holdings Corp.
5. Province, country or other jurisdiction of
incorporation or organization : Philippines
6. Industry Classification Code : (SEC Use Only)
7. Address of issuer's principal office/ Postal Code : 21st Floor, Udenna Tower,
Rizal Drive cor. 4th Avenue,
Bonifacio Global City, Taguig
1634
8. Issuer's telephone number, including area code : +632 84034007
9. Former name, former address and former
fiscal year, if changed since last report : N.A.
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the
RSA

Title of each Class

Number of shares of common
stock outstanding and amount
of debt outstanding

Common

21,488,500,000

11. Are any or all of the securities listed on a Stock Exchange?

Yes [☒] No [☐]

If yes, state the name of such Stock Exchange : Philippine Stock Exchange
and the class/es of securities listed therein

12. Indicate by check mark whether the registrant :

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17
thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and
Sections 26 and 141 of the Corporation Code of the Philippines, during the
preceding twelve (12) months (or for such shorter period the registrant was required
to file such reports)

Yes [☒] No [☐]

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [☒] No [☐]

Financial Information

The following are attached hereto as part of this report:

- a. Consolidated Statements of Financial Position as of September 30, 2025 (unaudited) and December 31, 2024 (audited)
- b. Consolidated Statements of Comprehensive Income for the nine months and three months ended September 30, 2025 (unaudited) and 2024 (unaudited)
- c. Consolidated Statements of Changes in Stockholders' Equity as of September 30, 2025 (unaudited) and 2024 (unaudited)
- d. Consolidated Statements of Cash Flows as of September 30, 2025 (unaudited) and 2024 (unaudited)
- e. Notes to Unaudited Interim Condensed Consolidated Financial Statements
- f. Aging of Receivables as of September 30, 2025
- g. Management's Discussion and Analysis of Financial Condition and Results of Operations
- h. Financial Soundness Indicators

DITO CME HOLDINGS CORP. AND SUBSIDIARIES
(A Subsidiary of Udenna Corporation)

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT SEPTEMBER 30, 2025 AND DECEMBER 31, 2024

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
ASSETS		
Noncurrent Assets		
Property and equipment (Note 6)	₱152,695,628,467	₱158,611,708,631
Right-of-use assets (Note 16)	26,898,268,694	29,069,392,312
Intangible assets (Note 7)	5,038,398,093	5,485,934,591
Goodwill (Note 8)	169,893,083	169,893,083
Other noncurrent assets (Note 9)	18,447,926,703	19,224,603,673
Total Noncurrent Assets	203,250,115,040	212,561,532,290
Current Assets		
Cash (Note 10)	763,147,492	1,179,531,061
Receivables and contract assets (Note 11)	674,172,096	515,950,579
Inventories (Note 12)	314,092,635	304,869,028
Prepayments and other current assets (Note 13)	4,331,364,344	4,371,524,724
Total Current Assets	6,082,776,567	6,371,875,392
TOTAL ASSETS	₱209,332,891,607	₱218,933,407,682
LIABILITIES AND CAPITAL DEFICIENCY		
CAPITAL DEFICIENCY (Note 14)		
Equity Attributable to Equity Holders of the Parent		
Capital stock	₱21,488,500,000	₱21,488,500,000
Additional paid-in capital	58,049,027,867	58,049,027,867
Reorganization reserves	(67,798,166,784)	(67,798,166,784)
Revaluation and other reserves	2,936,879,519	2,934,080,856
Deficit	(52,843,745,226)	(43,194,905,166)
Total Equity Attributable to Equity Holders of the Parent	(38,167,504,624)	(28,521,463,227)
Non-controlling Interests	(57,144,615,448)	(44,869,003,407)
Total Capital Deficiency	(95,312,120,072)	(73,390,466,634)
Noncurrent Liabilities		
Loans payable - net of current portion (Note 15)	192,489,950,910	184,376,555,604
Lease liabilities - net of current portion (Note 16)	15,937,796,116	20,012,087,332
Pension liability (Note 19)	98,360,474	98,755,355
Total Noncurrent Liabilities	208,526,107,500	204,487,398,291
Current Liabilities		
Accounts payable and other current liabilities (Note 17)	90,194,773,673	84,108,251,340
Current portion of loans payable (Note 15)	15,949,436	17,477,182
Current portion of lease liabilities (Note 16)	5,907,124,549	3,710,747,503
Income tax payable	1,056,521	—
Total Current Liabilities	96,118,904,179	87,836,476,025
Total Liabilities	304,645,011,679	292,323,874,316
TOTAL LIABILITIES AND CAPITAL DEFICIENCY	₱209,332,891,607	₱218,933,407,682

See accompanying Notes to Interim Condensed Consolidated Financial Statements

DITO CME HOLDINGS CORP. AND SUBSIDIARIES
(A Subsidiary of Udenna Corporation)

**UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF
COMPREHENSIVE INCOME**

FOR THE NINE MONTHS AND THREE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024

	For the nine months ended September 30,		For the three months ended September 30,	
	2025	2024	2025	2024
REVENUES FROM CONTRACTS WITH CUSTOMERS (Note 5)				
Service revenues	₱14,503,207,062	₱11,579,306,329	₱5,102,726,480	₱4,116,622,458
Non-service revenues	419,987,074	312,346,606	153,453,958	114,098,091
	14,923,194,136	11,891,652,935	5,256,180,438	4,230,720,549
COSTS AND EXPENSES				
General, selling and administrative expenses (Note 21)	12,031,178,953	10,168,959,322	3,990,207,392	3,511,744,162
Depreciation and amortization expense (Notes 6, 7 and 16)	11,469,927,661	10,557,257,732	3,825,260,013	3,685,736,142
Cost of sales and services (Note 5)	1,153,484,336	951,674,894	446,899,724	336,490,166
	24,654,590,950	21,677,891,948	8,262,367,129	7,533,970,470
OTHER INCOME (CHARGES)				
Interest expense (Notes 15, 16, 17 and 18)	(12,820,076,695)	(14,494,603,669)	(5,321,021,869)	(5,178,591,508)
Foreign exchange gains (losses) (Notes 15 and 24)	(2,230,711,697)	(1,551,462,985)	(7,320,709,940)	10,831,191,938
Interest income (Notes 9, 10 and 18)	21,930,437	19,645,735	7,497,198	6,807,266
Other charges – net (Note 9)	(173,886,502)	(33,944,860)	(33,165,542)	(18,875,405)
	(15,202,744,457)	(16,060,365,779)	(12,667,400,153)	5,640,532,291
LOSS BEFORE TAX	(24,934,141,271)	(25,846,604,792)	(15,673,586,844)	2,337,282,370
TAX EXPENSE	(358,056)	(10,004,451)	1,059,898	(60,877)
NET LOSS	(24,934,499,327)	(25,856,609,243)	(15,672,526,946)	2,337,221,493
OTHER COMPREHENSIVE INCOME				
<i>Items that will not be reclassified subsequently to profit or loss</i>				
Fair value gains (losses) on financial assets at FVOCI (Note 9)	2,818,396	9,680,306	(7,524,759)	8,517,893
Gain on disposal of equity securities at OCI (Note 9)	(19,733)	–	(19,733)	–
Other Comprehensive Income	2,798,663	9,680,306	(7,544,492)	8,517,893
TOTAL COMPREHENSIVE LOSS	(₱24,931,700,664)	(₱25,846,928,937)	(₱15,680,071,438)	₱2,345,739,386
NET LOSS ATTRIBUTABLE TO:				
Parent Company's shareholders	(₱9,648,840,060)	(₱11,053,407,253)	(₱6,285,706,713)	₱998,047,429
Non-controlling interest	(15,285,659,267)	(14,803,201,990)	(9,386,820,233)	1,339,174,064
	(₱24,934,499,327)	(₱25,856,609,243)	(₱15,672,526,946)	₱2,337,221,493
TOTAL COMPREHENSIVE LOSS ATTRIBUTABLE TO:				
Parent Company's shareholders	(₱9,646,041,397)	(₱11,043,726,947)	(₱6,293,251,205)	₱1,006,565,322
Non-controlling interest	(15,285,659,267)	(14,803,201,990)	(9,386,820,233)	1,339,174,064
	(₱24,931,700,664)	(₱25,846,928,937)	(₱15,680,071,438)	₱2,345,739,386
Basic/Diluted Loss Per Share (Note 22)	(₱0.4490)	(₱0.5658)	(₱0.2925)	₱0.0511

See accompanying Notes to Interim Condensed Consolidated Financial Statements.

DITO CME HOLDINGS CORP. AND SUBSIDIARIES

(A Subsidiary of Udenna Corporation)

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024

	Equity Attributable to Equity Holders of the Parent						Non-controlling Interest	
	Capital Stock (Note 14)	Additional Paid-In Capital (Note 14)	Reorganization Reserves (Note 14)	Other Reserves (Note 14)	Revaluation Reserves (Note 14)	Deficit	Total	Total
Balance at January 1, 2025, as previously reported	₱21,488,500,000	₱58,049,027,867	(₱67,798,166,784)	₱2,926,136,112	₱7,944,744	(₱43,194,905,166)	(₱28,521,463,227)	(₱44,869,003,407)
Equity transactions affecting non-controlling interests	—	—	—	—	—	—	—	3,010,047,226
Total comprehensive loss for the year	—	—	—	—	2,798,663	(9,648,840,060)	(9,646,041,397)	(15,285,659,267)
Balance at September 30, 2025 (Unaudited)	₱21,488,500,000	₱58,049,027,867	(₱67,798,166,784)	₱2,926,136,112	₱10,743,407	(₱52,843,745,226)	(₱38,167,504,624)	(₱57,144,615,448)
Balance at January 1, 2024, as previously reported	₱19,535,000,000	₱58,011,621,700	(₱67,798,166,784)	₱2,926,136,112	₱6,573,693	(₱34,537,660,747)	(₱21,856,496,026)	(₱13,517,979,603)
Equity transactions affecting non-controlling interests	—	—	—	—	—	—	—	994,996,268
Total comprehensive loss for the year, as restated	—	—	—	—	9,680,306	(11,053,407,253)	(11,043,726,947)	(14,803,201,990)
Balance at September 30, 2024 (Unaudited)	₱19,535,000,000	₱58,011,621,700	(₱67,798,166,784)	₱2,926,136,112	₱16,253,999	(₱45,591,068,000)	(₱32,900,222,973)	(₱27,326,185,325)

See accompanying Notes to Interim Condensed Consolidated Financial Statements.

DITO CME HOLDINGS CORP. AND SUBSIDIARIES
(A Subsidiary of Udenna Corporation)

UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOWS
AS AT SEPTEMBER 30, 2025 AND 2024

	For the Nine Months Ended	
	September 30,	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before income tax	(₱24,934,141,271)	(₱25,846,604,792)
Adjustments for:		
Depreciation and amortization (Notes 6, 7 and 16)	11,469,927,661	10,557,257,732
Interest expense (Notes 16, 17 and 18)	12,818,665,030	14,494,603,669
Unrealized foreign currency exchange losses (gain)	2,142,645,129	1,402,873,134
Provision for impairment losses on receivables and contract assets (Note 11)	162,473,931	36,704,926
Loss/(gain) on disposal of property and equipment (Note 6)		
Impairment of property and equipment	72,226,517	—
Interest income (Notes 9 and 17)	(21,930,437)	(19,645,735)
Retirement benefit expense (Note 19)	20,251,940	(3,629,640)
Inventory write-down (Note 12)	399,408	—
Operating income (loss) before working capital changes	1,730,517,908	621,559,294
Decrease (increase) in:		
Receivables and contract assets	(320,695,522)	(136,297,054)
Inventories	(9,623,015)	(285,649,763)
Prepayments and other current assets	40,908,803	(1,268,743,273)
Other non-current assets	30,689,918	570,976,721
Increase (decrease) in:		
Accounts payable and other current liabilities	2,334,811,333	(9,454,465,153)
Net cash generated from (used in) operations	3,806,609,425	(9,952,619,228)
Interest received	586,990	1,064,225
Income taxes paid	(135,344)	(192,134)
Net cash flows provided by (used in) operating activities	3,807,061,071	(9,951,747,137)
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisitions of:		
Property and equipment (Note 6)	(3,978,375,599)	(4,818,237,111)
Intangible assets (Note 7)	—	(1,715,659,464)
Proceeds from:	810,348	—
Disposal of property and equipment	(3,977,565,251)	(6,533,896,575)
Net cash flows used in investing activities	(3,978,375,599)	(4,818,237,111)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments of:		
Interest on loans payable (Note 15)	(7,278,376,864)	(8,220,221,840)
Lease liabilities (Note 16)	(3,312,431,776)	(2,713,185,997)
Advance lease payments	(270,452,597)	(401,473,399)
Debt issuance costs (Notes 9 and 15)	(72,385,198)	(265,501,717)
Principal portion of loans (Note 15)	(13,393,286)	(12,162,207)
Repayments of borrowings from related parties (Note 18)	—	(189,428,170)
Proceeds from:		
Loans payable (Note 15)	7,692,917,815	24,071,297,666
Additional borrowings from related parties (Note 18)	—	2,800,000,000
Non-controlling interest from transactions of subsidiaries (Note 14)	3,010,047,226	994,996,268
Net cash flows provided by (used in) financing activities	(244,074,680)	16,064,320,604
EFFECT OF EXCHANGE RATE CHANGES IN CASH	(1,804,709)	17,087,880
NET INCREASE (DECREASE) IN CASH	(416,383,569)	(404,235,228)
CASH AT BEGINNING OF YEAR	1,179,531,061	1,386,938,085
CASH AT END OF YEAR	₱763,147,492	₱982,702,857

See accompanying Notes to Interim Condensed Consolidated Financial Statements.

DITO CME HOLDINGS CORP. AND SUBSIDIARIES

(A Subsidiary of Udenna Corporation)

NOTES TO UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information and Authorization for Issuance of the Consolidated Financial Statements

Corporate Information

DITO CME Holdings Corp. (DITO CME or the Company) was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) on January 3, 1925 and is currently engaged in the business of a holding entity. The Company is incorporated and domiciled in the Philippines, and its shares are publicly traded.

The Company's principal address is 21st Floor, Udenna Tower, Rizal Drive corner 4th Avenue, Bonifacio Global City, Taguig City.

Status of Operations

The Group has incurred net losses amounting to ₱24.9 billion and ₱25.9 billion in 2025 and 2024 respectively, and has a capital deficiency of ₱95.3 billion and ₱73.4 billion as at September 30, 2025 and December 31, 2024, respectively. In addition, the Group's current liabilities exceeded its current assets by ₱90.0 billion and ₱81.5 billion as at September 30, 2025 and December 31, 2024, respectively. These conditions indicate that a material uncertainty exists that may cast significant doubt on the Group's ability to continue as going concern and, therefore, the Group may be unable to realize its assets and discharge its liabilities in the normal course of business. Albeit these conditions, management believes that the Group will be able to meet all its outstanding obligations and continue to operate as a going concern (see Note 4)

The Group's ability to continue as a going concern is dependent upon its ability to generate sufficient cash flows to meet its maturing obligations. To achieve this, the Group continues to ramp up its commercial operations through targeted subscriber acquisition, launching of new products and promotional activities aimed at increasing revenue and cash inflows. The Group will also continue to efficiently implement its network roll-out plan and cost-saving measures to improve the results of operations.

To close the liquidity gap and fund the Group's capital and operating expenditures, the Group will continue to draw from its undrawn portion of the project finance facility secured in September 2023, as needed (see Note 15). In addition to the project finance loan facility, the Group has access to other sources of funds and support, including the Project Coordination Deeds. The related parties, through this Project Coordination Deeds of Dito Telecommunity Corporation (Dito Tel), will also cooperate through the extension of payments of the Engineering, Procurement, Construction and Rollout of Telecommunications Network (EPC)-related obligations of Dito Tel. Moreover, the shareholders of Dito Tel are also committed to infuse additional capital in accordance with the schedule of infusion indicated in the executed investment agreement. In case needed, the shareholders of the Group are also committed to provide shareholders' loan to ensure liquidity of the Group. With the foregoing mitigating factors, the accompanying consolidated financial statements have been prepared on a going concern basis of accounting (see Notes 15 and 18).

Authorization for Issuance of the Consolidated Financial Statements

The interim consolidated financial statements of the Company and its subsidiaries (collectively referred to as the "Group") as at September 30, 2025 (including comparative consolidated financial statements as at December 31, 2024 and for the nine months and three months ended September 30, 2025 and 2024, were authorized for issue by the Board of Directors (BOD) on November 14, 2025.

2. Basis of Preparation and Changes in Accounting Policies and Disclosures

Basis of Preparation and Statement of Compliance

The consolidated financial statements of the Group are prepared using the historical cost basis and assumed realization of assets and settlement of liabilities in the normal course of operation. The financial statements are presented in Philippine Peso (₱), which is the Company's functional and presentation currency. All amounts are rounded to the nearest Peso, except when otherwise indicated.

New Standards, Interpretations and Amendments

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards and amendments that became effective in 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Adoption of these new standards did not have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*
- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*
- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

Standards Issued but not yet Effective

Pronouncements issued but not yet effective are listed below. The Group does not expect that the future adoption of the said pronouncements will have a significant impact on its consolidated financial statements. The Group will adopt the applicable pronouncements when they become effective.

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*
- Amendments to PAS 21, *Lack of exchangeability*

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards—Volume 11
 - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
 - Amendments to PFRS 7, *Gain or Loss on Derecognition*
 - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
 - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
 - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 18, *Presentation and Disclosure in Financial Statements*
- PFRS 19, *Subsidiaries without Public Accountability*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. Basis of Consolidation and Summary of Material Accounting and Financial Reporting Policies

Basis of Consolidation

The consolidated financial statements of the Group comprise the financial statements of the Company and the following subsidiaries, joint venture and operation as at September 30, 2025 and December 31, 2024:

	Notes	Percentage of Economic Interest		Country of Incorporation
		2025	2024	
Subsidiaries (Direct Interest):				
DITO CME Ventures, Inc. (DCVI)	(a)	100.0%	100.0%	Philippines
UCME	(b)	100.0%	100.0%	Philippines
Wagas Consultants Limited (Wagas)	(c)	100.0%	100.0%	British Virgin Islands
Dos Holdings, Inc. (DOS), <i>formerly Una Technologies Corp</i>	(d)	100.0%	100.0%	Philippines
Luna Technologies Inc. (Luna)	(e)	75.0%	75.0%	Philippines
Subsidiaries (Indirect Interest):				
Host Union International Limited (Host Union)	(f)	100.0%	100.0%	Hong Kong
Dito Holdings Corporation (Dito Holdings)	(g)	77.8%	72.9%	Philippines
Dito Tel	(h)	38.0%	35.6%	Philippines
Super Agila Tech Inc. (SATI)	(i)	100.0%	100.0%	Philippines
Joint Venture and Operation				
Telecommunications Connectivity, Inc. (TCI)	(j)	12.7%	11.9%	Philippines
Black Cap Pictures, Inc. (BCP)	(k)	40.0%	40.0%	Philippines

- (a) DCVI is a domestic corporation registered with the Philippine SEC on May 27, 2015, primarily engaged in managing information communications technology services and provide digital retail services which includes the buying, selling, and distribution of radio communication and customer premises terminal equipment, operation of digital platforms, selling and trading of software and digital media advertising solutions, creation, marketing, branding, and promotion of digital content or other similar activity for its own behalf or any third party.
- (b) UCME is a domestic corporation registered with Philippine SEC on January 24, 2012, primarily established to purchase, or otherwise acquire, and hold, use, obtain an interest in, pledge, mortgage, assign, deal in, exchange and sell or otherwise dispose of, alone or in conjunction with others, all kinds of securities.
- (c) Wagas is a special-purpose entity, organized and existing under the laws of the British Virgin Islands. Wagas is currently non-operating.
- (d) DOS is a domestic corporation registered with the Philippine SEC on February 24, 2021, primarily engaged in delivery, manufacture and development of various computer/Information Technology related products and services. DOS has not yet started commercial operations as at September 30, 2025. The change in corporate name from Una Technologies Corp. to Dos Holdings, Inc. was filed and approved by the SEC on August 7, 2023.
- (e) Luna is a domestic corporation registered with the Philippine SEC on November 12, 2021, primarily engaged in dealing, devising, supplying, modifying, developing, buying, selling, letting, trading, marketing and distributing all forms of business software, educational/ training cloud-based platforms and soft-as-a-service products.

- (f) Host Union, an indirect subsidiary of the Company through Wagas, is a special-purpose entity organized and existing under the laws of Hongkong. Host Union is currently non-operating.
- (g) Dito Holdings is a domestic corporation registered with Philippine SEC on October 4, 2019, which primary purpose is to acquire, hold, sell, exchange, deal, and invest in real or personal property of all kinds including stocks, bonds, or securities of any public or private corporation, including any government or any subdivision thereof. Dito Holdings is a subsidiary of UCME.

On September 4, 2023, the SEC approved the increase in authorized capital stock of Dito Holdings, which resulted to the dilution of the Parent Company's shareholdings in Dito Holdings and Dito Tel from 89.5% to 72.9% and 43.8% to 35.6%, respectively. Moreover, this also diluted the interest of the Parent Company from 14.6% to 11.9% in TCI. The dilution did not result in the loss of control or joint control.

On August 11, 2025, the SEC approved the increase in authorized capital stock of Dito Holdings, which resulted to the increase of the Parent Company's shareholdings in Dito Holdings and Dito Tel from 72.9% to 77.8% and 35.6% to 38.0%, respectively. Moreover, this also increased the interest of the Parent Company from 11.9% to 12.7% in TCI.

- (h) Dito Tel is a domestic corporation registered with SEC on September 25, 1997, primarily to establish, maintain and operate telephone and telecommunications systems and to engage and/or operate in the telecommunications business as well as to manage data centers, training and educational centers; and, to hold, own, and develop property necessary and desirable for the fulfillment of the foregoing business activities. Dito Tel is a subsidiary of Dito Holdings. Dito Holdings directly hold 60% voting interest in Dito Tel.

On April 19, 1998, the Company was granted a 25-year franchise under Republic Act No. (RA) 8627 to construct, establish, install, maintain and operate wire and/or wireless telecommunication systems in the Philippines. The franchise was set to expire in 2023. On May 18, 2021, the President of the Philippines has signed into law Republic Act No. (RA) 11537 which extends the Company's franchise for another 25 years from its expiration on April 24, 2023, unless sooner revoked or canceled. RA 11537 was published in the Official Gazette on May 31, 2021.

On July 8, 2019, by virtue of National Telecommunications Commission (NTC) Memorandum Circular No. 09-09-2018, *Rules and Regulations on the Selection Process for a New Major Player in the Philippine Telecommunications Market*, the Company was granted by the NTC its Certificate of Public Convenience and Necessity (CPCN) to own install, operate and maintain fixed (wired and wireless) networks, mobile networks, and offer all types of national and international telecommunications services including broadband and to charge rates therefor under NTC Case No. 2019-116.

The Company is registered with the Board of Investments (BOI) with Certificate of Registration No. 2019-223 dated November 7, 2019, with a non-pioneer status as a New Operator of Telecommunications System. The Company is entitled to a four (4) year income tax holiday (ITH) from March 8, 2021, the start of its commercial operations.

- (i) SATI is a domestic corporation registered with the SEC on May 20, 2021, primarily engaged in delivering, manufacturing, and developing various computer/IT related products and services covering courseware, IT and business consultancy, web page development and designing, certification review, system development programs, hardware and software wholesale and retail without engaging as internet service provider. SATI is a subsidiary of DCVI which was acquired by the Company from Dennison Holdings Corporation.

- (j) TCI is the joint venture of Dito Tel with Globe Telecom, Inc. and Smart Communications, Inc. in compliance with the new mobile number portability initiative of the government under RA No. 11202, also known as the Mobile Number Portability Act, which was enacted February 8, 2019.
- (k) BCP is a Philippine-based film production company headquartered in Makati City, Philippines. The company is involved in producing and distributing films, with a focus on both local and international markets. Among its notable films produced and distributed are Magalhães (Magellan), The Last Goodbye, and Flight Risk.

Subsidiaries refer to all entities over which the Group has control.

The Group reassesses control over an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins from the date of acquisition, being the date on which control is transferred to the Group and continue to be consolidated until the date that such control ceases. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

NCI represent a portion of profit or loss and net assets of subsidiaries not held by the Group, directly or indirectly, and are presented separately in the consolidated statement of comprehensive income and within the equity section in the consolidated statements of financial position and consolidated statement of changes in equity, separately from the Company's equity.

Changes in the Group's ownership interest in a subsidiary that do not result in the Group losing control of the subsidiary are accounted for as equity transactions.

When the proportion of the equity held by the NCI changes, the Group adjusts the carrying amount of the controlling and noncontrolling interests to reflect the changes in their relative interests in the subsidiary. The Group recognizes directly in equity (i.e., Additional Paid-in Capital) any difference between the amount by which the noncontrolling interests are adjusted and the fair value of the consideration paid or received, and attribute it to the owners of the Company.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent and to the noncontrolling interests, even if this results in the noncontrolling interests having a deficit balance. Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances.

All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary
- Derecognizes the carrying amount of any noncontrolling interests
- Derecognizes the cumulative translation differences recorded in equity
- Recognizes the fair value of the consideration received
- Recognizes the fair value of any investment retained
- Recognizes any surplus or deficit in profit or loss
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

Property and Equipment

Property and equipment are stated at cost, less accumulated depreciation (except land) and accumulated impairment losses, if any.

Borrowing costs directly attributable to the acquisition, construction or production of an item of property and equipment is capitalized as part of cost of the asset if the asset takes a substantial time to get ready for its intended use.

Capitalized borrowing cost is the lower between the hypothetical borrowing cost and the actual borrowing cost incurred which includes the following:

- Interest expense calculated using effective interest method as described in PFRS 9, *Financial Instruments*;
- Interest in respect of lease liabilities recognized in accordance with PFRS 16; and
- Exchange differences arising from foreign currency borrowings to the extent that they are regarded as an adjustment to borrowing cost.

Hypothetical borrowing cost is the borrowing cost that should have been incurred assuming that the borrowings are denominated in the functional currency of the Group.

The capitalization of borrowing costs: (i) commences when the activities to prepare the assets are in progress and expenditures and borrowing costs are being incurred; (ii) is suspended during the extended periods in which active development, improvement and construction of the assets are interrupted; and (iii) ceases when substantially all the activities necessary to prepare the assets are completed. All other borrowing costs are expensed as incurred.

The initial cost of property and equipment comprises its purchase price, including any directly attributable costs of bringing the property and equipment to its working condition and location for its intended use. Such cost includes the cost of replacing part of the equipment and borrowing costs for long-term construction projects if the recognition criteria are met. Major repairs are capitalized as property, plant and equipment only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of items can be measured reliably.

Depreciation commences on the date the property and equipment is ready for use and is calculated on a straight-line basis over the estimated useful lives of the assets as follows:

	Years
Leasehold and land improvements (presented as part of “Building and Improvements” in Note 6)	5-10 years or lease term, whichever is shorter
Buildings	10-25
Office equipment	3-10
Office furniture and fixtures	3-8
Telecommunications equipment	5-20
Transportation equipment	3-7

Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are initially measured at cost, less any accumulated depreciation and impairment losses and adjusted for any remeasurement of lease liabilities. The initial cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, lease payments made at or before the commencement date, less any lease incentives received.

Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of their estimated useful life and lease term. Right-of-use assets are subject to impairment testing when indicators exist.

The estimated useful life of right-of-use assets are as follows:

	Years
Land included as part of network sites	64
Network sites	1 to 25
Stores	1 to 2
Poles	1 to 10
Cables	1 to 27
Office space and others	1 to 10
Towers	2 to 20

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in substance fixed payments), less any lease incentives receivable.

In calculating the present value of lease payments, the Group uses the incremental borrowing rate (IBR) at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of storage warehouses and office furniture and fixture (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

Intangible Assets

Intangible assets acquired separately are measured at cost on initial recognition. Following initial recognition, intangible assets are carried at cost, less any accumulated amortization and accumulated

impairment losses. The useful lives of intangible assets are assessed at the individual asset level as either finite or indefinite.

Intangible assets with finite lives are amortized over the economic useful life of 10 years, using the straight-line method and assessed for impairment whenever there is an indication that the intangible assets may be impaired.

Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at acquisition date fair value and the amount of any noncontrolling interests in the acquiree. For each business combination, the Group elects whether to measure the noncontrolling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses.

The Group determines that it has acquired a business when the acquired set of activities and assets include an input and a substantive process that together significantly contribute to the ability to create outputs. The acquired process is considered substantive if it is critical to the ability to continue producing outputs, and the inputs acquired include an organized workforce with the necessary skills, knowledge, or experience to perform that process or it significantly contributes to the ability to continue producing outputs and is considered unique or scarce or cannot be replaced without significant cost, effort, or delay in the ability to continue producing outputs.

When the Group acquires a business, it assesses the financial assets and financial liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Goodwill acquired in a business combination is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognized for noncontrolling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed. Following initial recognition, goodwill is measured at cost less any accumulated impairment losses. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group reassesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognized in the consolidated profit or loss.

For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill forms part of a cash-generating unit or a group of cash-generating units and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash-generating unit retained.

Other Noncurrent Assets

Other noncurrent assets include advances to contractors, input value-added tax (VAT), advance rental, deferred charges and refundable deposit, among others, which are to be realized more than one year after the statement of financial position date.

Advances to Contractors. Advances to contractors is recognized in the statement of financial position when it is probable that the future economic benefits will flow to the Group and the assets has cost or value that can be measured reliably. These assets are regularly evaluated for any indicator of impairment in value. Current and noncurrent classification is determined based on the determined usage/realization of the asset to which it is intended for.

Input VAT. Revenues, expenses, and assets are recognized net of the amount of VAT, if applicable.

When VAT from sales of goods and/or services (output VAT) exceeds VAT passed on from purchases of goods or services (input VAT), the excess is recognized as payable in the statements of financial position. When VAT passed on from purchases of goods or services (input VAT) exceeds VAT from sales of goods and/or services (output VAT), the excess is recognized as an asset in the statements of financial position to the extent of the recoverable amount. The net amount of VAT recoverable from the taxation authority is included as part of the "Input VAT" in the statements of financial position. Current and noncurrent classification is determined based on the estimated output VAT to be recognized in the next period.

Deferred charges. Deferred charges are recognized in the statement of financial position when it is probable that future economic benefits will flow to the Group and the assets has cost or value that can be measured reliably. This account includes debt issuance costs related to future drawdown and payment for services rendered in relation to leases agreements.

Advance rental. Advance rentals are recognized in the statement of financial position when it is probable that future economic benefits will flow to the Group and the assets has cost or value that can be measured reliably. This account includes payment made in advance relation to lease agreements.

Refundable deposits

Refundable deposits represent security rental deposit to the lessor related to the lease properties collected at the inception of the lease term measured at amortized cost after the termination of the lease or as provided for in the respective lease arrangements or applied to any unpaid obligations of the lessee. This also includes deposits made to electricity distribution companies.

Impairment of Nonfinancial Assets

The Group assesses at each reporting date whether there is an indication that the non-financial assets (property and equipment, right-of-use assets, intangible assets, investment in joint venture, prepayments, other current and noncurrent nonfinancial assets) may be impaired or whether there is an indication that a previously recognized impairment loss may no longer exist or may have decreased. If such indications exist, the Group makes an estimate of the asset's recoverable amount. An assets' recoverable amount is the higher of the assets' or cash generating unit's fair value less costs to sell and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

When the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment loss or its reversal is recognized

in the statements of comprehensive income in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is an indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. In cases where the impairment loss no longer exists or may have decreased due to a change in estimates, the carrying amount of an asset is increased to its recoverable amount to the extent that the amount cannot exceed the carrying amount, net of depreciation or amortization, had no impairment loss been recognized in prior years.

Impairment of Goodwill

Goodwill is reviewed for impairment, annually or more frequently, if events or changes in circumstances indicate that the carrying value may be impaired.

Impairment is determined for goodwill by assessing the recoverable amount of the cash-generating unit (or group of cash-generating units) to which the goodwill relates. Where the recoverable amount of the cash-generating unit (or group of cash-generating units) is less than the carrying amount of the cash-generating unit (or group of cash-generating units) to which goodwill has been allocated, an impairment loss is recognized immediately in the consolidated profit or loss.

Impairment losses relating to goodwill cannot be reversed for subsequent increases in its recoverable amount in future periods. The Group performs its annual impairment test of goodwill as at the end of each financial reporting period.

Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Initial Recognition and Measurement of Financial Assets

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of the Group's trade receivables, the Group initially measures a financial asset at its fair value plus, transaction costs. Trade receivables are measured at the transaction price, i.e., the amount of consideration the Group is entitled to collect from the customers in exchange for services rendered.

Subsequent Measurement of Financial Assets

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets measured at amortized cost (debt instruments)
- Financial assets measured at fair value through other comprehensive income, where cumulative gains or losses previously recognized are reclassified to profit or loss (debt instruments)
- Financial assets measured at fair value through other comprehensive income, where cumulative gains or losses previously recognized are not reclassified to profit or loss
- Financial assets measured at fair value through profit or loss

As at September 30, 2025 and December 31, 2024, the Group's financial assets consist only of financial assets measured at amortized cost.

The Group measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and,

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Group's financial assets at amortized cost include cash in banks, receivables, contract assets, advances to related parties and refundable deposits.

Impairment of financial assets

Expected credit losses (ECLs) are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

For receivables from postpaid subscribers and contract assets, the Group applies the simplified ECL approach and always recognizes lifetime ECL for trade receivables and contract assets. The expected credit losses on these financial assets are estimated based on the characteristics of the product and payment behavior of the subscriber at the reporting date.

For advances to related parties and refundable deposits, ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for expected credit loss over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For cash in banks, the Group applies the low credit risk simplification. The probability of default and loss given defaults are publicly available and are considered to be low credit risk investments. It is the Group's policy to measure ECLs on such instruments on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. The Group uses the ratings from the external credit rating agencies to determine whether the debt instrument has significantly increased in credit risk and to estimate ECLs.

Financial Liabilities

Initial Recognition and Measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities include loans payable, lease liabilities and accounts payable and other current liabilities (except 'withholding taxes payable' and other statutory liabilities).

Subsequent Measurement

Other financial liabilities

This category includes liabilities arising from operations and the Group's financing activities. Other financial liabilities are recognized initially at fair value plus directly attributable transaction costs and are subsequently carried at amortized costs, taking into account any related premium, discount by applying the EIR method of amortization (or accretion). Gains and losses on other financial liabilities are recognized in the statement of comprehensive income when the liabilities are derecognized, as well as through the amortization process.

This accounting policy applies to the Group's loans, lease liabilities and accounts payable and other current liabilities (except 'withholding taxes payable' and other statutory liabilities).

Inventories

Inventories include mobile handset units, sim cards and other accessories. These are initially measured at cost and subsequently valued at the lower of cost and net realizable value. Costs incurred in bringing inventories to its present location and condition are accounted for using the weighted average cost method. Net realizable value (NRV) represents either estimating the selling price in the ordinary course of business, less the estimated cost to sell.

Prepayments

Prepayments are carried at cost and are amortized on a straight-line basis, over the period of intended usage, which is equal to or less than 12 months or within the normal operating cycle.

Prepaid NTC Fees

Prepaid NTC fees are advance payments for NTC fees which are apportioned over the period covered by the payment and charged to the appropriate account in the Group's statement of income when incurred.

Revenue

Revenue is measured based on the consideration specified in an arrangement with the customer, net of any amounts collected on behalf of third parties. The Group recognizes revenue upon transfer of control of a non-service product and upon delivery of service to a customer.

Transfer of control to the customer represents the transfer of the rights with regard to the good and service whereby customer's ability to receive the benefit from the good or service is represented by its right to substantially all of the cash inflows, or the reduction of the cash outflows, generated by the goods or services. Upon transfer of control, the customer has sole possession of the right to use the goods or services for the remainder of its economic life and/or to consume the goods or services based on its validity days. The Group's revenue recognition is in accordance with PFRS 15.

A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations. The Group recognizes a contract with customer when it has approved the contract, both parties are committed to perform their respective obligations and there is payment terms for the goods or services to be transferred and it is probable the Group will collect the consideration to which it will be entitled in exchange for the goods or services that will be transferred to the customer.

The Group's performance obligations are identified whether promised goods or services are distinct. Distinct goods or services is when a customer can benefit from the individual good or service on its own on a stand-alone basis or bundled with other goods and services. Separate performance obligation drives the allocation of the transaction price to the identified performance obligations and the timing of revenue recognition when the performance obligations are satisfied.

In assessing performance obligations, the Group evaluates its revenue arrangements to determine whether the Group is acting as principal or agent. Both the legal form and the substance of the agreement are considered to determine each party's respective roles in the agreement. Revenue is recorded at gross when acting as a principal while only net revenues are considered if only an agency services exists.

In allocating the transaction price which includes variable consideration to each performance obligation taking into account contractually defined terms of payment and excluding VAT, or overseas communication tax, (or OCT), where applicable. Allocation of transaction price on the components of performance obligations is based on the stand-alone selling price of goods and services to arrive at the service and non-service revenue recognition.

The Group recognizes revenues from mobile prepaid and postpaid services which may be bundled with sale of handsets and other devices.

Mobile services are those provided to subscribers in prepaid arrangements such as short messaging service (SMS), voice, data or internet. Service and non-service offers are usually offered in bundles with multiple deliverables. Each component is identified by performance obligation and allocate the transaction price with stand-alone selling price ratio.

Regular load are initially recognized as deferred revenues. These are eventually charged as service revenues upon actual usage of load value. Any expired or unused remaining load value after the subscribed validity period are immediately recognized as service revenue.

Promotional offers of SMS, voice, mobile internet, and other services, are recognized as service revenue over the promotional period previously approved by the Department of Trade and Industry. These are performance obligations for which the transaction price is allocated based on their standalone selling prices.

Prepaid contracts are assessed to determine the performance obligations which may be rendered separately or bundled with goods and services.

Postpaid services may be rendered separately or bundled with goods or other services. Postpaid service arrangements include fixed monthly service fees (including excess of consumable fixed monthly service fees) generated from local exchange services primarily through landline and related services, and from fixed line and other network services primarily through broadband and leased line services, which the Company recognizes on a straight-line basis over the customer's subscription period. Services provided to postpaid subscribers are billed throughout the month according to the billing cycles of subscribers. Services availed by subscribers in addition to these fixed fee arrangements are charged separately at their stand-alone selling prices and recognized as the additional service is provided or as availed by the subscribers are bundled with sale of mobile handsets and other devices.

Postpaid services bundled with handsets and modems are performance obligations for which the transaction price is allocated based on their standalone selling prices. The amount allocated to the postpaid service is recognized as service revenue over the period of subscription. Any amount allocated to the sale of device is immediately recognized as non-service revenue upon delivery of the item. Contract assets are recognized for the unbilled portion of the consideration allocated to the sale of devices which are subsequently reduced as the monthly service fees are billed to the subscribers.

Interconnection with other Carriers –Inbound Revenues and Interconnect Cost

Inbound Revenues and Roaming Charges (Local and International) Inbound traffic originating from other telecommunications providers that terminates at the Group's network are recognized as service revenues in the period when the inbound traffic occurred based on the agreed transit and termination rates with other foreign and local carriers. The equivalent amounts charged by other carriers are recorded as interconnection costs classified as cost of sales in the Group's statement of comprehensive income.

Unearned revenues

Unearned revenue is recognized when a customer pays consideration before the Group transfers goods or services to the customer. The amounts are recognized as revenue as and when the Group satisfies its obligation under the contract. Unearned revenues are mainly derived from prepaid contracts. Goods and services are expected to be delivered or transferred no more than 12 months after the reporting period thus, these contract balances are classified as current in the statement of financial position.

Operating Expenses

Expenses are recognized when a decrease in economic benefits during the accounting period in the form of outflows or decrease of assets or incurrence of liabilities that result in decrease in equity, other than those relating to distributions to equity participants, has arisen that can be measured reliably. Expenses are recognized in profit or loss in the period in which they are incurred and generally measure at the amount paid or payable.

Foreign Currency Transactions

Transactions in foreign currencies are initially recorded at the respective functional currency rates prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency closing rate of exchange prevailing at the end of the reporting period. All differences arising on settlement or translation of monetary items are recognized in the statement of comprehensive income, except for foreign exchange differences related to bank loans qualified for capitalization as borrowing costs. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions (historical rate).

Income Tax

Current Income Tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Deferred Income Tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable income will be available against which the deductible temporary differences can be used.

Deferred tax assets are recognized for all temporary differences, carryforward benefit of the excess of minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and unused net operating loss carry over (NOLCO), to the extent that it is probable that sufficient future taxable profit will be available against which deductible temporary differences and carryforward of MCIT and unused NOLCO can be utilized, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss and does not give rise to equal taxable and deductible temporary differences; and
- In respect of deductible temporary differences associated with investments in joint venture, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are re-assessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax items are recognized in correlation to the underlying transaction either in OCI or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if and only if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Retirement Benefit Cost

The Group does not currently maintain a formal retirement plan and only conforms with Republic Act (RA) 7641, Retirement Pay Law, which is a defined benefit type.

The cost of providing benefits under the defined benefit plans is determined using the projected unit credit actuarial valuation method. Projected unit credit method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined benefit costs comprise service cost, net interest on the net defined benefit liability or asset and re-measurements of net defined benefit liability or asset.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognized as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the statements of comprehensive income net of any reimbursement. If the effect of the time value of money is material, provisions are discounted

using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

Contingencies

Contingent liabilities are not recognized in the Group financial statements. These are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the Group financial statements but disclosed when an inflow of economic benefits is probable.

4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRSs requires the Group to make estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses, and other comprehensive income (loss). Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as they become reasonably determinable.

Judgments, estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations, which have the most significant effect on amounts recognized in the consolidated financial statements.

Assumption on going concern

The use of the going concern assumption involves management making judgments, at a particular point in time, about the future outcome of events or conditions that are inherently uncertain. The Group has no plan to liquidate. Management believes that it will be able to generate positive cash flow from operations and continue to obtain the needed financing for the Group's working capital and network rollout. The consolidated financial statements are prepared on a going concern basis considering the future plans disclosed in Note 1.

Revenue recognition

Transaction price is the amount of consideration which the Group is entitled to in exchange for transferring promised goods or services to a customer. Transaction price also represents the stand-alone selling price for goods and services sold on stand-alone basis. In determining the transaction price allocated, the Group does not include nonrecurring charges and estimates for usage, nor arrangements with an original expected duration of one year or less are considered.

Stand-alone selling price is determined based on the transaction price of a goods or service which the Group regularly sells the non-service and service components in a separate transaction or individual performance obligation. Non-service revenues like handsets are allocated using expected cost-plus margin approach. Service and non-service revenues are recognized per performance obligation and are allocated based on stand-alone selling price if bundled with different services or goods.

The Group's service revenues are recognized through the use of input method wherein recognition is over time based on the customer subscription period or offer validity period since the customer

simultaneously receives and consumes the benefits as the seller renders the services. On the other hand, the Group recognizes revenue for non-service at a point in time when the customer obtains control of the goods.

Determination of indicators of impairment of nonfinancial assets

The Group reviews property and equipment, intangible assets, goodwill, right-of-use assets, investment in a joint venture, advances to contractors, input VAT and deferred charges for impairment. This includes considering certain indications of impairment such as significant changes in asset usage, significant decline in assets' market value, obsolescence or physical damage of an asset and significant negative industry or economic trends.

The carrying values of these assets are reflected in Notes 6, 7, 8, 9, 13 and 16, respectively.

Determining lease contracts

The Group determines whether a contract is, or contains, a lease at the inception of the contract. The Group determined that the Memorandum on Conformity of Commercial Terms (MOC) executed and signed by the Group and the lessors constitute a valid enforceable lease contract that binds the parties of their rights and obligations. The Group determined that the MOC conveys to the Group the right to control the use of an identified asset for a period of time in exchange for consideration (see Note 16).

Determining the lease term of contracts with renewal and termination options – Group as lessee

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group has several lease contracts that include extension and termination options. The Group applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization to the leased asset). The Group assessed that the renewal periods are to be included as part of the lease term if these are reasonably certain to be exercised (see Note 16).

Contingencies

Dito Tel has significant commitments and contingencies under the CPCN which are covered by performance security for each commitment period. As at September 30, 2025, there were no significant contingencies as it relates to CPCN because Dito Tel passed its final technical audit.

The Group, together with its counsel, believes that actual cash outflows relating to the above, if any, are not probable. The Group's management and counsel believe that the eventual liabilities under the CPCN, if any, will not have a material effect on the consolidated financial statements (see Note 24).

In addition, in the normal course of the Group's business, it is involved in various disputes and legal proceedings involving, among others, interconnection with other telecommunication companies, the Philippine Competition Act, permitting and licensing, lease agreements, and the like. Management and its legal counsel believe that the Group has substantial legal and factual bases to support its position on these disputes and proceedings, and that potential losses arising from these, if any, will not have a material adverse impact on the Group's financial position and performance. Disclosing details of these disputes and legal proceedings in addition to information that were already disclosed

in the financial statement is expected to prejudice the position of the Group. As allowed under PAS 37, these information were not included in the consolidated financial statements.

Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of reporting period that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial years are discussed below.

Estimation of the useful lives of property and equipment

The useful lives of each of the Group's property and equipment are estimated based on the period over which the assets are expected to be available for use. Such estimation is based on a collective assessment of industry practice, internal technical evaluation and experience with similar assets. The estimated useful lives of each asset are reviewed periodically and updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the assets. It is possible, however, that future financial performance could be materially affected by changes in the amounts and timing of recorded expenses brought about by the changes in the factors mentioned above. A reduction in the estimated useful lives of any property and equipment, intangible assets or right-of-use asset would increase the recorded operating expenses and decrease noncurrent assets.

There were no changes in the estimated useful lives of these assets in 2025 and 2024. The carrying value of property and equipment as at September 30, 2025 and December 31, 2024 are disclosed in Note 6 of the consolidated financial statements.

Estimation of allowance for ECL

The Group used significant assumptions about the future economic conditions and credit behavior, like likelihood of counterparties defaulting and the resulting losses, as further detailed below.

- *Cash in banks*

The credit risk for cash in banks is considered negligible since the counterparties are reputable banks with high quality external credit ratings (see Note 26).

- *Receivables*

The Group's receivables, which comprises mainly of receivables from dealers and carriers and advances to related parties, are unsecured, noninterest-bearing and repayable on demand. The credit risk is dependent on the historical experience and capacity of the other party to pay the outstanding receivable.

For the Group's ECL for receivable from postpaid subscribers and contract assets, the Group uses reasonable and supportable forward-looking information based on assumptions for the future movement of different economic drivers and how these drivers will affect each other. Probability of default constitutes a key input in measuring ECL. Probability of default is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.

Allowance for ECL amounting to ₱293.9 million and ₱133.4 million was recognized as at September 30, 2025 and December 31, 2024, respectively (see Notes 11 and 26).

- *Deposits*

Management has assessed that these financial assets have low probability of default since these relate to continuing lease contracts and any outstanding deposit balance can be applied against future monthly rentals, as necessary (see Notes 9, 13 and 16).

The methodology and assumptions used in estimating future cash flows are reviewed regularly by the Group to reduce any differences between loss estimates and actual loss experience.

Estimation of right-of-use assets and liabilities at initial recognition

The initial measurement of right-of-use assets and lease liabilities on lease arrangements requires management to make estimates and assumptions. In making those estimates, management is required to determine a suitable incremental borrowing rate (IBR) at the lease commencement date, if the interest rate implicit in the lease is not determinable, to calculate the present value of lease payment.

While the Group believes that the assumptions used are reasonable and appropriate, these estimates and assumptions can materially affect the consolidated financial statements. The comparative range of IBR used and the carrying amounts of right-of-use assets and lease liabilities as at September 30, 2025 and December 31, 2024 are disclosed in Note 16 of the consolidated financial statements.

Estimation of pension benefit costs and other employee benefits

The cost of defined benefit and present value of the pension obligation are determined using the projected unit credit method. An actuarial valuation includes making various assumptions which consists, among other things, discount rates, rates of compensation increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, defined benefit obligations are highly sensitive to changes in these assumptions. The assumptions are reviewed at each reporting date.

The present value of defined benefit obligation as at September 30, 2025 and December 31, 2024, including the components of retirement expense and remeasurement loss recognized in other comprehensive income are disclosed in Note 19 of the consolidated financial statements.

Estimation of capitalized borrowing cost

The Group capitalizes borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of the related asset. The borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are those borrowing costs that would have been avoided if the expenditure on the qualifying asset had not been made.

The Group may borrow funds in a currency other than its functional currency. This may have been done on the basis that, over the period of the development, the borrowing cost, even after allowing for exchange differences, were expected to be less than the interest cost of an equivalent functional currency loan.

PAS 23, *Borrowing Costs* defines borrowing cost as including exchange differences arising from foreign currency borrowings to the extent that they are regarded as an adjustment to interest cost. In determining the capitalizable borrowing cost of the Group, management uses estimates to limit the exchange losses taken as borrowing cost such that the total borrowing cost capitalized do not exceed the amount of borrowing cost that would be incurred on functional currency equivalent borrowings, taking into consideration the corresponding market interest rates and other conditions that existed at inception of the borrowings.

Borrowing cost including foreign exchange losses arising from foreign currency borrowings were capitalized to the extent allowed under PAS 23 taking into consideration the use of hypothetical borrowing cost wherein the Group estimates the borrowing cost that should have been incurred assuming that the borrowings are denominated in the functional currency of the Group. As at September 30, 2025 and December 31, 2024, capitalized borrowing cost in relation to the construction of the property and equipment are disclosed in Note 6 of the consolidated financial statements.

Determination of NRV of inventories

The Group recognizes inventory write down and losses whenever NRV becomes lower than cost due to damage, physical deterioration, obsolescence, changes in price levels or other causes.

Estimates of NRV are based on the most reliable evidence available at the time the estimates are made of the amount the inventories are expected to be realized. The adequacy of allowance for inventory write-down and losses is reviewed periodically to reflect the accurate valuation in the consolidated financial statements.

No amount for allowance for inventory obsolescence were recognized as at September 30, 2025 and December 31, 2024. The carrying amount of inventories as at September 30, 2025 and December 31, 2024 are disclosed in Note 12 to the consolidated financial statements.

Estimation of current and noncurrent portion of input VAT

The Group classifies portion of its input VAT as part of its current assets at the end of each reporting date based on the estimated output VAT to be recognized in the next period using its projected revenue.

As at September 30, 2025 and December 31, 2024, the carrying value of input VAT is disclosed in Notes 9 and 13 to the consolidated financial statements.

Determination of realizability of deferred tax assets

At the end of each reporting period, the management assesses if it has become probable that sufficient taxable income will be available to allow portion or all of the previous unrecognized deferred tax assets to be utilized. Determination of sufficient income requires making assumptions about future results of operations and timing of reversal of temporary differences.

Information about the Group's gross unrecognized deferred taxes as at September 30, 2025 and December 31, 2024 are disclosed in Note 20 of the consolidated financial statements.

5. Revenue and Cost of Sales and Services

The Group derives its revenue mainly from the transfer of goods and services over time and at a point in time by providing mobile services to subscribers in prepaid and postpaid arrangements such as SMS, voice, data and internet. Majority of the Group's revenue is derived from operations within the Philippines with no single customer exceeding ten percent (10%) of total revenues.

As at and for the period ended September 30, 2025 and 2024, following are the relevant balances:

Revenue

	2025	2024
Type of goods or service (timing of revenue recognition)		
Service revenue (transferred over time)	₱14,503,207,062	₱11,579,306,329
Non-service revenue (transferred at a point in time)	419,987,074	312,346,606
Total revenue from contracts with customers	₱14,923,194,136	₱11,891,652,935

Cost of Sales and Services

	2025	2024
Cost of mobile handsets and sim cards	₱557,582,359	₱448,587,184
Cost of services	595,901,977	503,087,710
Total cost of sales and services	₱1,153,484,336	₱951,674,894

Contract Balances

	2025	2024
Receivable from dealers and carriers (Note 11)	₱464,216,304	₱256,631,670
Receivables from postpaid subscribers (Note 11)	283,603,158	125,723,501
Unearned revenue (Note 17)	1,890,371,514	1,803,874,544
Contract asset – current (Notes 11 and 13)	90,105,372	166,647,893
Contract asset – net of current portion (Note 9)	169,753,499	47,111,535

6. Property And Equipment

This account consists of:

September 30, 2025							
	Land	Building and Improvements	Office Equipment, Furniture and Fixtures	Telecommunications Equipment	Transportation Equipment	Construction-In-progress	Total
Cost							
Balance at beginning of year	₱648,587,015	₱5,260,233,531	₱160,646,928	₱160,736,952,087	₱106,162,292	₱19,283,646,536	₱186,196,228,389
Additions (Notes 15 and 18)	—	—	17,755,687	—	—	2,457,152,340	2,474,908,027
Transfers	—	1,017,389,523	5,431,412	7,040,351,889	—	(8,063,172,824)	—
Retirements	—	—	(5,570,503)	(118,801,993)	(783,929)	—	(125,156,425)
Balance at end of period	648,587,015	6,277,623,054	178,263,524	167,658,501,983	105,378,363	13,677,626,052	188,545,979,991
Accumulated depreciation							
Balance at beginning of year	—	981,568,110	93,989,522	26,459,146,229	49,815,897	—	27,584,519,758
Depreciation	—	225,912,657	24,256,040	8,056,001,581	11,676,297	—	8,317,846,575
Retirements	—	—	(5,570,503)	(46,015,012)	(429,294)	—	(52,014,809)
Balance at end of period	—	1,207,480,767	112,675,059	34,469,132,798	61,062,900	—	35,850,351,524
Net book value	₱648,587,015	₱5,070,142,287	₱65,588,465	₱133,189,369,185	₱44,315,463	₱13,677,626,052	₱152,695,628,467

December 31, 2024							
	Land	Building and Improvements	Office Equipment, Furniture and Fixtures	Telecommunications Equipment	Transportation Equipment	Construction-In-progress	Total
Cost							
Balance at beginning of year	₱648,277,015	₱4,759,066,840	₱125,685,235	₱144,894,521,192	₱102,465,860	₱18,577,605,328	₱169,107,621,470
Additions (Notes 15 and 18)	310,000	792,300	34,592,443	—	3,696,432	17,050,572,624	17,089,963,799
Transfers	—	500,374,391	1,726,130	15,842,430,895	—	(16,344,531,416)	—
Retirements	—	—	(1,356,880)	—	—	—	(1,356,880)
Balance at end of year	648,587,015	5,260,233,531	160,646,928	160,736,952,087	106,162,292	19,283,646,536	186,196,228,389
Accumulated depreciation							
Balance at beginning of year	—	693,935,600	65,445,346	16,421,999,317	34,443,547	—	17,215,823,810
Depreciation	—	287,632,510	29,668,283	10,037,146,912	15,372,350	—	10,369,820,055
Retirements	—	—	(1,124,107)	—	—	—	(1,124,107)
Balance at end of year	—	981,568,110	93,989,522	26,459,146,229	49,815,897	—	27,584,519,758
Net book value	₱648,587,015	₱4,278,665,421	₱66,657,406	₱134,277,805,858	₱56,346,395	₱ 19,283,646,536	₱158,611,708,631

Unpaid amounts of additions to property and equipment amounted to ₱12.9 billion and ₱10.7 billion as at September 30, 2025 and December 31, 2024, respectively (see Notes 17 and 18).

Borrowing costs capitalized as part of property and equipment as at September 30, 2025 and December 31, 2024 amounted to ₱6.1 billion and ₱5.6 billion, respectively (see Notes 15 and 16).

As at September 30, 2025 and December 31, 2024, certain property and equipment were used as collateral to secure the payment of a portion of the Group's loans payable (see Note 15).

As at September 30, 2025 and December 31, 2024, there are no fully depreciated assets that are still used in the operations.

7. Intangible Assets

As at September 30, 2025 and December 31, 2024, this account consists of acquired licenses, computer software and cloud-based applications used in the business. Roll-forward of the account follows:

	2025	2024
Cost:		
Balance at beginning of year	₱6,944,972,128	₱4,005,797,894
Additions	23,158,192	2,939,174,234
Balance at end of year	6,968,130,320	6,944,972,128
Accumulated amortization:		
Balance at beginning of year	1,459,037,537	936,024,293
Amortization	470,694,690	523,013,244
Balance at end of year	1,929,732,227	1,459,037,537
Net Book Value	₱5,038,398,093	₱5,485,934,591

Unpaid amounts of additions to intangibles amounted to ₱3,961.0 million and ₱3,961.0 million as at September 30, 2025 and December 31, 2024, respectively (see Note 17).

8. Goodwill

Goodwill amounting to ₱169.9 million as at September 30, 2025 and December 31, 2024 arose from Udenna's acquisition of 60% controlling interest in Dito Tel in 2020 and primarily comprises the value of expected synergies of the telecommunications business as part of the Group's expansion program and is derived by deducting the fair values of the net assets acquired as at the date of acquisition from the amount of total consideration paid.

Goodwill is subject to annual impairment testing as required under PAS 36, *Impairment of Assets*. In 2025 and 2024, the recoverable amounts of the cash-generating units were determined based on fair value less cost to sell.

No impairment losses were recognized in 2025 and 2024 as the recoverable amounts of the goodwill are higher than their carrying values.

9. Other Noncurrent Assets

As at September 30, 2025 and December 31, 2024, this account consists of:

	2025	2024
Input VAT - net of current portion (Note 13)	₱14,131,411,222	₱14,182,119,567
Contract assets - net of current portion (Note 5)	1,720,500,937	47,111,535
Deferred charges (Notes 13, 15 and 16)	1,613,394,421	2,314,454,215
Refundable deposits	628,354,987	589,658,085
Advances to contractors	169,753,499	86,241,440
Advance rental (Note 16)	58,312,446	1,882,967,608
Investment in joint venture and joint operation	49,097,661	81,743,339
Financial asset at amortized cost	42,926,479	40,307,884
Others	34,175,051	—
	₱18,447,926,703	₱19,224,603,673

Input VAT pertains to VAT on various purchases of goods and services which can be claimed as credits against future output VAT liabilities without prescription. It includes deferred input VAT amounting to ₱13.8 million and ₱64.5 million as at September 30, 2025 and December 31, 2024, respectively, which pertains to purchases of capital goods exceeding ₱1.0 million. Unutilized input VAT on capital goods purchased or imported prior to January 1, 2023 is amortized for a period of 60 months until fully utilized. The recognition of deferred input VAT over five (5) years is allowed only until December 31, 2021 as provided under Revenue Memorandum Circular (RMC) No. 21-2022 issued on December 9, 2021. The RMC further provides that the unutilized deferred input VAT as at December 31, 2021 can still be applied until fully utilized.

Deferred charges mainly include debt issuance cost related to future drawdown from Dito Tel's loan agreement. This also includes payments made to related parties for the services rendered related to the lease of transmission network with third party and submarine capacity which will be capitalized as part of ROU or expensed upon commencement of the lease (see Note 16), the related services for which are not expected to be incurred within 12 months from the end of the reporting period.

Advance rental pertains to payments made prior to the commencement date of the lease arrangement when the right-of-use asset is not yet available for use by the Group. This also includes advance payments on leases not qualified under PFRS 16.

Refundable deposits pertain to the deposits made to electricity distribution companies for the electricity supply to operate the Group's network sites such as access sites and data centers.

Advances to contractors pertain to advances made by the Group for the purchase and set-up of telecommunications satellites and for long term technical support of their cable systems.

Investment in joint venture and joint operation pertain to arrangements of Dito Tel and DCVI with certain third parties.

The investment in joint venture pertain to Dito Tel's agreement with Globe Telecom, Inc. and Smart Communications to form a joint venture Telecommunications Connectivity Incorporated (TCI) in compliance with the new mobile number portability initiative of the government under RA 11202 also known as the "Mobile Number Portability Act" ("the MNP Act") which was enacted on February 8, 2019. In 2020, Dito Tel invested ₱40.0 million for 33.3% ownership in TCI and assessed that this equity interest gives the Group joint control over TCI. On September 30, 2021, TCI started

its commercial operations by offering mobile number portability core services to the public telecommunications companies and the public.

The investment in joint operation pertain to DCVI's joint operation agreement with a certain third party to engage in the film production, wherein the third party shall be contributing their industry, in the form of the planning, production, post-production, marketing and distribution, while the DCVI shall be contributing capital investment.

Financial assets at fair value through other comprehensive income consist of the Parent Company's investment in equity securities, which are quoted shares of stock in a publicly listed domestic entity.

The reconciliation of the carrying amounts of the investment in equity securities are as follows:

	2025	2024
Balance at the beginning of year	₱40,307,883	₱35,647,050
Fair value gains	2,818,396	4,660,834
Disposal	(199,800)	—
Balance at end of year	₱42,926,479	₱40,307,884

10. Cash

As at September 30, 2025 and December 31, 2024, this account consists of:

	2025	2024
Cash on hand	₱22,433,393	₱5,921,671
Cash in banks	740,714,099	1,173,609,390
	₱763,147,492	₱1,179,531,061

Cash in banks earns interest at the respective bank deposit rates. Interest income earned from cash in banks amounted are presented as part of Interest income in the consolidated statements of comprehensive income.

As at September 30, 2025 and December 31, 2024, cash amounting to ₱558.0 million and ₱620.4 million, respectively, were used as collateral to secure the payment of a portion of the of the Group's loans payable (see Note 15).

11. Receivables and Contract Assets

As at September 30, 2025 and December 31, 2024, this account consists of:

	2025	2024
Receivables from dealers and carriers (Note 5)	₱464,216,304	₱256,631,670
Receivable from postpaid subscribers	283,603,158	125,723,501
Contract assets, net of noncurrent portion (Notes 5 and 9)	90,105,372	166,647,893
Advances to officers and employees	57,694,145	36,068,012
Receivable from customers	36,175,873	22,373,243
Advances to affiliates (Note 18)	32,709,766	40,981,747
Others	3,522,916	973,306
	968,027,534	649,399,372
Allowance for impairment	(293,855,438)	(133,448,793)
	₱674,172,096	₱515,950,579

Receivables from dealers consist mainly of receivables from distributor partners while receivables from carriers consist of domestic and international interconnect services for inbound transactions.

Receivables from postpaid subscribers arise from mobile, handsets, fixed wireless access (FWA), and broadband internet services offered by the Group under postpaid arrangements.

Advances to officers and employees pertain to payment to its officers and employees for various operational expenses that are subject to liquidation.

The roll forward of allowance for impairment are as follows:

	2025	2024
Balance at beginning of year	₱133,448,793	₱14,948,314
Provision expense during the year	162,473,930	120,346,167
Write-off during the year	(2,067,285)	(1,845,688)
Balance at end of year	₱293,855,438	₱133,448,793

As at September 30, 2025 and December 31, 2024, certain receivables were used as collateral to secure the payment of a portion of the Group's loans payable (see Note 15).

12. Inventories

As at September 30, 2025 and December 31, 2024, this account consists of (at cost):

	2025	2024
Customer premises equipment	₱263,760,265	₱205,959,412
Sim cards and sim packs	28,371,513	59,236,518
Mobile handsets	17,451,602	36,483,670
Other accessories	4,509,255	3,189,428
	₱314,092,635	₱304,869,028

For the nine months ended September 30, 2025 and 2024, the Group recorded inventory write-downs of ₱0.4 million and ₱0.2 million, respectively.

The amount of cost of inventories sold and used recognized for the nine months ended September 30, 2025 and December 31, 2024 is presented as part of as part of “Costs of sales and services” in the consolidated statements of comprehensive income (see Note 5).

As at September 30, 2025 and December 31, 2024, inventories amounting to ₱313.6 million and ₱304.5 million, respectively, were used as collateral to secure the payment of a portion of the Group’s loans payable (see Note 15).

13. Prepayments And Other Current Assets

As at September 30, 2025 and December 31, 2024, this account consists of:

	2025	2024
Input VAT – current portion (Note 9)	₱3,464,254,182	₱3,786,237,196
Prepaid NTC fees (Note 24)	580,971,300	371,246,434
Prepayments	165,851,221	113,232,449
Refundable deposits	53,156,826	49,059,238
Advances to contractors – current portion	35,118,921	50,118,443
Others	36,406,405	6,025,475
	4,335,758,855	4,375,919,235
Allowance for impairment losses on input VAT	(4,394,511)	(4,394,511)
	₱4,331,364,344	₱4,371,524,724

Input VAT pertains to VAT on various purchases of goods and services which can be claimed as credits against future output VAT liabilities without prescription. It includes deferred input VAT amounting to ₱506.2 million as at September 30, 2025 and December 31, 2024, which pertains mainly to input VAT on the purchase of services, the related liability for which remains outstanding at the end of the reporting period. This tax credit can be applied against output VAT when the corresponding liability for service purchase transactions is settled prior to the implementation of the Ease of Paying Taxes (EOPT). However, following the EOPT, it may only be claimed as a tax credit against output VAT upon the actual provision of the services.

Prepaid NTC fees pertains to advance payments of NTC spectrum user fees (SUF) and other license fees that are payable annually based on assigned frequency bands and per radio station license application (see Note 24).

Prepayments pertain to advance payments of advertising placements, property insurance policies, network related maintenance charges, project management subscriptions, flexible benefit plan for employees which are expected to be incurred within 12 months from the end of reporting period.

Refundable deposits pertain to deposits on rented areas related to network sites, retail spaces, and utilities, such as electricity and water, which are expected to be refunded within 12 months from the end of reporting period subject to deductions for any potential damages or outstanding payments.

14. Equity

Capital Stock

The details of the Group's capital stock as at September 30, 2025, and December 31, 2024 are as follows:

	Shares		Amount	
	2025	2024	2025	2024
Common shares – ₱ 1 par value				
Authorized:				
Balance at beginning and end of year	40,000,000,000	40,000,000,000	₱40,000,000,000	₱40,000,000,000
Issued:				
Balance at beginning of year	21,488,500,000	19,535,000,000	₱21,488,500,000	₱19,535,000,000
Issued during the year	–	1,953,500,000	–	1,953,500,000
Balance at end of year	21,488,500,000	21,488,500,000	₱21,488,500,000	₱21,488,500,000
Subscription receivable:				
Balance at beginning of year	–	–	₱–	₱–
Paid during the year	–	–	–	–
Subscribed during the year	–	–	–	–
Balance at end of year	–	–	₱–	₱–
Total issued and outstanding shares	21,488,500,000	21,488,500,000	₱21,488,500,000	₱21,488,500,000

In 2022, the Parent Company issued 35,000,000 additional common shares upon collection of its subscription receivable totaling to ₱280.0 million. Correspondingly, the Parent Company recognized capital stock and APIC amounting to ₱35.0 million and ₱245.0 million, respectively.

On August 15 and 16, 2023, the Parent Company issued 1,590,000,000 common shares to Summit Telco Corporation Pte. Ltd. (Summit Telco) and 610,000,000 common shares to Xterra Ventures Pte. Ltd., respectively, for a total of 2,200,000,000 common shares at ₱1.00 per share. These shares were issued and subscribed out of the Parent Company's unissued authorized capital stock.

On October 20, 2023, the BOD approved the issuance of additional 3,300,000,000 common shares of the Corporation out of its unissued authorized capital stock to Summit Telco Holdings Corporation (STHC), a Philippine registered corporation that is wholly owned by Summit Telco, at an issue price of ₱1.00 per share.

On November 4, 2024, the Parent Company and Summit Telco entered into a Subscription Agreement Framework, under which Summit Telco committed to subscribing to up to 9,000,000,000 primary common shares of the Parent Company, subject to the execution of formal subscription agreements that will outline the specific terms and conditions for the subscription and share issuance.

In connection with this agreement, Summit Telco advanced ₱10.38 billion (see Note 18) to the Parent Company, which was exclusively allocated to fulfill the Company's capital commitments to its operating subsidiary, Dito Tel. The funds were used solely for this purpose, except for applicable taxes and fees, including documentary stamp tax (DST) related to the issuance of shares and any SEC-related fees, if applicable.

These funds are intended to be used for the subscription of up to 9,000,000,000 shares of the Corporation's common stock, contingent on the execution of the formal subscription agreement. As at this date, the subscription agreement has not yet been executed, and the specific details of the subscription are still pending. However, Summit Telco has advanced these funds with the understanding that they will be applied toward the future purchase of shares once the subscription agreement is finalized.

On December 6, 2024, the Parent Company successfully completed a follow-on offering of 1,953,500,000 common shares at an offer price of ₱1.05 per share. The total net proceeds from the offering amounted to ₱1,990.9 million, after accounting for offer-related expenses and underwriting fees of ₱60.3 million. The funds raised are intended to support Dito Tel's commercial roll-out and network expansion, as well as to meet general corporate needs. As at December 31, 2024, the newly issued shares have been listed on the PSE and are part of the Group's issued and outstanding capital stock.

Non-controlling Interests

Significant non-controlling interests represent the interest not held by the Group in Dito Holdings and Dito Tel (see Note 3). Non-controlling interests in Luna and DOS are considered as not significant to the consolidated financial statements as both have yet to start commercial operations.

Equity transactions affecting non-controlling interests, which include acquisition, subscription, and disposal to non-controlling interests resulting in gains and losses for the Group, are recognized in equity.

In relation to the approved proposed increase in Dito Holdings' authorized capital stock in 2021, the Group received a capital infusion from minority shareholders amounting to ₱1,247.5 million and presented as part of non-controlling interest account in 2021 when the application was filed with and received by the SEC. The application was filed with and received by the SEC in October 2021 and was approved on September 4, 2023. The issuance of new shares at Dito Holdings amounts to approximately 18.5% of its issued and outstanding capital stock. After such issuance, the Parent Company's shareholdings in Dito Holdings and Dito Tel is diluted from 89.5% to 72.9% and 43.8% to 35.6%, respectively. This did not result in a loss of control in Dito Holdings and Dito Tel. The difference between the proportionate net book value and the consideration transferred amounting to ₱2,916.7 million is credit to Other Reserves in the 2023 consolidated statement of changes in equity.

In relation to the approved proposed increase in Dito Holdings' authorized capital stock in 2025, the Group received a capital infusion from minority shareholders amounting to ₱3,010.0 million and presented as part of non-controlling interest account in 2025. The application was filed with and received by the SEC in January 2025 and was approved by the SEC on August 11, 2025. The issuance of new shares at Dito Holdings amounts to approximately 57.3% of its issued and outstanding capital stock. After such issuance, the Parent Company's shareholdings in Dito Holdings and Dito Tel increased from 72.9% to 77.8% and 35.6% to 38.0%, respectively.

In 2023 and 2022, Dito Tel signed various agreements with CTIPL to fund its various operating expenditures and working capital requirements (see Note 18).

In October 24 and November 6, 2023, a total of ₱6,570.5 million was received from CTIPL as partial payment of its subscription to Dito Tel. The collection of subscription is presented under non-controlling interest account in the 2023 statement changes of equity.

In 2025 and 2024, the Group received capital infusions from Summit Global Limited amounting to ₱3,010.0 million and ₱995.0 million, respectively.

15. Loans Payable

This account consists of:

	2025	2024
Bank loans	₱209,001,975,255	₱200,464,094,956
Note payable (Note 18)	311,193,313	321,134,599
	209,313,168,568	200,785,229,555
Less unamortized debt issuance cost	(16,807,268,222)	(16,391,196,769)
	192,505,900,346	₱184,394,032,786
Less current portion of loans payable	(15,949,436)	(17,477,182)
	₱192,489,950,910	₱184,376,555,604

A roll forward of this account is presented below:

	2025	2024
Balance at beginning of year	₱184,394,032,786	₱154,519,826,318
Additions	7,692,917,815	24,071,297,667
Payments	(10,081,287)	(16,604,489)
Foreign exchange loss	845,102,484	7,315,427,841
Debt issuance cost	(416,071,452)	(1,495,914,551)
Balance at end of year	192,505,900,346	184,394,032,786
Less current portion of loans payable	(15,949,436)	(17,477,182)
	₱192,489,950,910	₱184,376,555,604

The movements in the unamortized debt issuance cost as at September 30, 2025 and December 31, 2024 are as follows:

	2025	2024
Balance at beginning of year	₱16,391,196,769	₱14,895,282,218
Additions	689,777,046	2,091,907,257
Amortization	(273,705,593)	(595,992,706)
Balance at end of period	₱16,807,268,222	₱16,391,196,769

Future undiscounted repayment of the loans payable as at September 30, 2025 and December 31, 2024 are as follows:

	2025	2024
Within one year	₱15,949,436	₱17,477,182
After one year but not more than five years	17,078,102,490	11,449,461,097
More than five years	192,219,116,642	189,318,291,276
	₱209,313,168,568	₱200,785,229,555

The following summarizes the loan facilities and the status of the facility as at September 30, 2025:

- *Omnibus Loan and Security Agreement*

On September 20, 2023, Dito Tel signed a fifteen (15) year loan agreement with several creditors comprising of CNY4,266.0 million (US\$600.0 million) (referred to as “Facility A1”) and US\$3,297.0 million (referred to as “Facility A2”), CNY and USD tranches, respectively, loan facilities:

Facility A1 (CNY):

Interest payment is based on five (5)-year loan prime rate (LPR), payable every 15th of June and 15th of December of each calendar year.

Carrying value of the loan from various drawdowns under this facility as at September 30, 2025 and December 31, 2024 amounted to ₱20,875.2 million (CNY 2,561.4 million) and ₱18,878.7 million (CNY 2,374.7 million), respectively.

Facility A2 (US\$):

Interest payment is based on SOFR and CAS, plus fixed margin of 2.2% per annum, payable every 15th of June and 15th of December of each calendar year.

Carrying value of the loan from various drawdowns under this facility as at September 30, 2025 and December 31, 2024 amounted to ₱188,126.8 million (US\$3,241.2 million) and ₱181,585.4 million (US\$3,130.0 million), respectively.

The following table summarizes the status of the credit line facilities as at September 30, 2025 (amounts in millions):

	Bank	Credit Line	Drawn	Unused
<i>Facility A1</i>		CNY4,266.0	CNY2,561.4	CNY1,704.6
<i>Facility A2</i>		US\$3,297.0	US\$3,241.2	US\$55.8

All proceeds from the loan drawdowns were used as payment for the cost of the EPC services and roll-out of 4G/5G ready telecommunication network in the Philippines, settlement of bank loans maturing in 2023, and payment of the related interest of outstanding bank loans in June 2025 and 2024.

Total interest costs from the loan facility agreements for the nine months ended September 30, 2025 and 2024 amounted to ₱11,145.4 million and ₱12,201.7 million, respectively. Total interest paid amounted to ₱6,564.4 million and ₱8,220.2 million for the nine months ended September 30, 2025 and 2024 respectively. Accrued interest included as part of ‘Accrued expenses’ under ‘Accounts payable and other current liabilities’ in the statements of financial position as at September 30, 2025 and December 31, 2024 amounted to ₱4,092.9 million and ₱612.6 million, respectively (see Note 16). Total interest and debt issue costs charged in the statement of comprehensive income amounted to ₱11,145.4 million and ₱273.7 million, respectively, for the nine months ended September 30, 2025, and ₱12,201.7 million and ₱660.8 million, respectively, for the nine months ended September 30, 2024.

Debt covenants

The Group's debt instruments contain restrictive covenants, including positive covenants that require the Group to comply with specified financial ratios tests, such as debt to equity (D/E) and total debt to EBITDA, at relevant measurement dates, principally at the end of each semi-annual period. The D/E Ratio, on any date, is defined as the ratio of:

- a) the aggregate amount of all outstanding Advances under the Facilities on that date (including any Advances under the Facilities requested to be made and expected to remain outstanding on that date) to
- b) the aggregate amount of Equity actually received by Dito Tel on or prior to that date, plus any positive balance of retained earnings and reserves on that date. Equity refers to the amount of funds provided pursuant to the Sponsor Support Agreement in the form of Subordinated Advances and/or contributions made to capital stock (either in cash or, to the extent reflected in the Dito Tel's audited Financial Statements, in kind) across all classes of shares (whether in the form of common or preferred shares).

The Group is compliant with the loan covenants as at September 30, 2025.

The Group's debt instruments contain a number of other negative covenants that, subject to certain exceptions and qualifications, restrict the Group's ability to take certain actions without lenders' approval, including:

- a. making any substantial change in the general nature of its business;
- b. selling, leasing, transferring or disposing of assets other than in the ordinary course of business;
- c. merging or consolidating with any other company;
- d. establishing, acquiring or permitting to exist any Subsidiary;
- e. creating any lien or security interest over all or any of its present or future revenues or assets; and,
- f. making any loan, grant any credit or give any guarantee or indemnity;

As at September 30, 2025 and December 31, 2024, the Group is in compliance with the above general undertakings.

The Group's loan agreements also contain customary and other default provisions that permit the lender to accelerate amounts due or terminate their commitments to extend additional funds under the loan agreements upon occurrence of events of default. These provisions include:

- a. cross-defaults will be triggered only if the principal amount of the defaulted indebtedness exceeds a threshold amount specified in the loan agreement;
- b. acceleration may arise upon the occurrence of any material adverse change in circumstances that the Lender reasonably believes will impair the Group's ability to perform its obligations; and,
- c. other typical events of default include the commencement of bankruptcy, expropriation, insolvency, liquidation or winding up proceedings.

As at September 30, 2025 and December 31, 2024, the Group is in compliance with the above provisions.

Dito Tel's cash, receivables, inventory, property and equipment, right-of-use assets, and common and preferred shares with aggregate carrying value of ₱212,702.9 million and ₱209,520.0 million as at September 30, 2025 and December 31, 2024, respectively, were used as collateral for the Group's liabilities (see Notes 6, 10, 11, 12, 16 and 18).

Note payable to Udenna

In June 2020, Dito Tel received US\$5.0 million (carrying value amounted to ₱290.2 million and ₱290.0 million as at September 30, 2025 and December 31, 2024, respectively). This represents a noninterest-bearing cash collateral which was deposited by Udenna in support of the Performance Security under the Amended and Restated Investment Agreement between Dito Tel, Udenna, CLC and China Telecom. This amount will be repaid back to Udenna after the inspection period of Dito Tel's compliance with CPCN by the NTC after the fifth (5th) anniversary year of the issuance of the CPCN (see Note 18). As at December 31, 2024, the evaluation process to facilitate the repayment has yet to be initiated and the settlement is not expected to become due within the next 12 months.

Notes payable to Union Bank of the Philippines (UBP) and China Banking Corporation (CBC)

In 2021, the Group entered into a vehicle financing agreement with UBP and CBC with a fixed interest rate of 7.24% and 6.50% per annum, respectively, and payable in sixty (60) months. The purchased vehicles were used for the Group's network roll out and commercial launch. The carrying value of the collateralized transportation equipment amounted to ₱45.9 million and ₱53.4 million as at September 30, 2025 and December 31, 2024, respectively.

As at September 30, 2025 and December 31, 2024, outstanding notes payable in relation to vehicle financing amounted to to ₱20.9 million (₱16.7 million for UBP and ₱4.2 million for CBC) and ₱31.1 million (₱4.5 million for UBP and ₱26.6 million for CBC), respectively.

16. Leases

The roll forward of the right-of-use assets as at September 30, 2025 and December 31, 2024 follows:

	2025						
	Land and Network Sites	Poles	Cables	Towers	Stores	Office space and Others	Total
<i>Cost</i>							
Balance at beginning of year	₱31,881,189,027	₱400,842,882	₱2,654,097,575	₱7,825,649,165	₱126,590,770	₱1,045,648,975	₱43,934,018,394
Additions	207,120,134	218,263,148	132,259,497	164,326,998	1,438,583	97,115,925	820,524,285
Modifications	-	-	(146,557,254)	-	-	(163,704,253)	(310,261,507)
Balance at end of period	32,088,309,161	619,106,030	2,639,799,818	7,989,976,163	128,029,353	979,060,647	44,444,281,172
<i>Accumulated depreciation</i>							
Balance at beginning of year	11,435,210,111	247,782,944	1,466,070,240	1,057,585,355	117,221,795	540,755,637	14,864,626,082
Amortization	1,876,823,173	173,656,157	158,816,593	384,640,620	9,397,889	78,051,963	2,681,386,396
Balance at end of period	13,312,033,284	421,439,101	1,624,886,833	1,442,225,975	126,619,684	618,807,600	17,546,012,478
<i>Net book value</i>	₱18,776,275,877	₱197,666,929	₱1,014,912,985	₱6,547,750,188	₱1,409,669	₱360,253,047	₱26,898,268,694

	2024						
	Land and Network Sites	Poles	Cables	Towers	Stores	Office space and Others	Total
<i>Cost</i>							
Balance at beginning of year	₱31,613,341,446	₱380,842,689	₱2,478,324,312	₱5,846,516,775	₱95,766,265	₱980,535,092	₱41,395,326,579
Additions	267,847,581	20,000,193	175,773,263	1,979,132,390	30,824,505	65,113,883	2,538,691,815
Balance at end of year	31,881,189,027	400,842,882	2,654,097,575	7,825,649,165	126,590,770	1,045,648,975	43,934,018,394
<i>Accumulated depreciation</i>							
Balance at beginning of year	8,797,922,869	187,288,702	1,117,970,326	582,587,891	82,185,708	410,174,025	11,178,129,521
Amortization	2,637,287,242	60,494,242	348,099,914	474,997,464	35,036,087	130,581,612	3,686,496,561
Balance at end of year	11,435,210,111	247,782,944	1,466,070,240	1,057,585,355	117,221,795	540,755,637	14,864,626,082
<i>Net book value</i>	₱20,445,978,916	₱153,059,938	₱1,188,027,335	₱6,768,063,810	₱9,368,975	₱504,893,338	₱29,069,392,312

The Group entered into lease agreements with related and third parties (see Note 18) for various items of land and network sites, poles, cables, towers, stores and office buildings. The Group has considered in the lease term the non-cancellable period of the lease together with the periods covered by an option to extend and option to terminate the lease (see Note 4).

The lease liabilities were measured at the present value of the remaining lease payments discounted at the Group's incremental borrowing rate (IBR) ranging from 2.4% to 11.0% and 2.6% to 11.0% in 2025 and 2024, respectively.

The roll forward of lease liabilities as at September 30, 2025 and December 31, 2024 are as follows:

	2025	2024
Balance at beginning of year	₱23,722,834,835	₱23,634,434,423
Additions	820,524,284	2,538,691,815
Accretion of interest	924,254,830	1,237,438,513
Modification	(310,261,508)	—
Payments made during the year	(3,312,431,776)	(3,687,729,916)
Total	21,844,920,665	23,722,834,835
Current portion	(5,907,124,549)	(3,710,747,503)
Noncurrent portion	₱15,937,796,116	₱20,012,087,332

The Group applies the short-term lease recognition exemption for leases with the terms of one year, renewable at the option of the lessor and the Group.

The following are the amounts recognized in the statements of comprehensive income:

	2025	2024
Amortization expense of right-of-use assets	₱2,681,386,396	3,679,058,612
Interest expense on lease liabilities, net of capitalized borrowing cost	876,482,218	1,128,705,560
Expenses relating to lease of short-term leases (Note 21)	370,818,994	573,437,295

Capitalized interest expense to 'Construction-in-progress' under "Property and equipment" amounted to ₱47.8 million and ₱106.7 million as of September 30, 2025 and December 31, 2024, respectively (see Note 6).

The movements in the unamortized discounts for September 30, 2025 and December 31, 2024 are as follows:

	2025	2024
Balance at beginning of year	₱7,016,249,432	₱6,878,935,670
Additions	463,683,812	1,374,752,275
Accretion	(924,254,830)	(1,237,438,513)
Balance at end of year	₱6,555,678,414	₱7,016,249,432

Shown below is the maturity analysis of lease liabilities pertaining to contractual undiscounted cash flows as at September 30, 2025 and December 31, 2024:

	2025	2024
Within one year	₱4,576,173,880	₱4,800,822,577
After one year but not more than 5 years	13,704,184,958	13,707,008,592
More than five years	10,122,460,661	12,231,253,098
	₱28,402,819,499	₱30,739,084,267

As at September 30, 2025 and December 31, 2024, certain right-of-use assets were used as collateral to secure the payment of a portion of the Group's loans payable (see Note 15).

17. Accounts Payable and Other Current Liabilities

This account consists of:

	2025	2024
Accrued project costs (Notes 6, 18 and 26)	₱33,571,467,172	₱32,357,970,455
Advances from affiliates (Note 18)	27,518,431,997	26,626,746,951
Accrued expenses (Notes 15 and 18)	19,357,256,841	14,356,804,989
Accounts payable (Notes 6, 18 and 26)	5,927,727,639	7,363,175,458
Payables to government agencies	1,890,371,514	1,518,412,784
Unearned income (Note 5)	1,619,750,807	1,803,874,544
Others	309,767,703	81,266,159
	₱90,194,773,673	₱84,108,251,340

Accounts payable mainly represent obligations to contractors and various suppliers for the construction and development of the Group's network roll-out. These are normally settled within the next operating cycle of the Group.

Accrued project costs refer to construction materials and services received based on percentage of completion but not yet billed to the Group.

Accrued expenses pertain to accrual of interest expense, consultancy fees, professional fees, outsourced services and other general and administrative expenditures, which are expected to be settled within one (1) year.

Unearned income pertains to consideration received from dealer purchases via trade wallet and subscriber balance wherein the performance of the service obligation is yet to be satisfied by the Group as at the end of reporting period.

Others are mostly composed of other statutory payables that are expected to be settled within one (1) year.

18. Related Party Transactions

The Group's related parties include its affiliates and the Group's key management personnel. Details of the Group's related party transactions and balances are as follows:

Entity	Nature		September 30, 2025 (Unaudited) Amount/ Volume	September 30, 2025 (Unaudited) Receivable (Payable)	September, 2024 (Unaudited) Amount/ Volume	December 31, 2024 (Audited) Receivable (Payable)
Ultimate parent company:						
Udenna Corporation						
	Advances granted	(i-a)	—	25,174,890	12,037,598	25,174,890
	Advances obtained	(i-b)	—	(466,210,262)	189,511,536	(496,908,080)
	Deferred charges	(iii-a)	—	121,581,950	—	121,581,950
	Note payable	Note 15	—	(290,210,000)	—	(290,070,000)
Other shareholders:						
Summit Telco Corporation Pte. Ltd. (Summit Telco)						
	Advances obtained	(i-b)	—	(10,326,908,990)	—	(10,326,908,990)
Summit Telco Holdings Corporation (STHC)						
	Advances obtained	(i-b)	—	(54,295,853)	—	(54,295,853)
Xterra Ventures Inc. (Xterra)						
	Advances obtained	(i-b)	—	(100,000,000)	—	(100,000,000)
Related parties under common ownership:						
Udenna Management & Resource Corp. (UMRC)						
	Advances obtained	(i-b)	—	(1,264,968)	—	(1,264,968)
Chelsea Logistics and Infrastructure Holdings Corp. (CLIHC)						
	Advances obtained	(i-b)	—	(56,874,867)	—	(56,874,867)
Udenna Infrastructure Corporation (Udenna Infra)						
	Advances granted	(i-a)	—	4,500,000	—	4,500,000
	Accrued Payable	(iii-j)	57,235,555	(64,943,615)	12,891,675	(9,902,371)
Udenna Tower						
	Lease transactions	(ii-a)	—	(346,962,664)	—	(566,469,728)
	Advances obtained	(i-b)	135,042,219	(74,463,381)	83,366	(5,285,169)
	Accrued Payable	Note 17	4,406,134	(6,402,417)	824,927	(6,463,960)
Others:						
China Telecom						
	Performance Bond Fees	(iv)	—	—	2,354,501	—
China Telecom International Investment Private Ltd. (CTIPL)						
	Advances	(i-b) (v)	—	(14,511,467,443)	—	(14,155,175,385)
	Interest expense	(i-b) (v)	395,198,798	(1,795,822,229)	398,588,211	(1,355,697,835)
	Others	(i-b) (v)	—	(127,263,607)	—	(104,451,345)
FutureNet and Technology Corporation (FNT)						
	Construction contract	Note 17	1,941,665,532	33,345,385,058)	10,389,641,912	(32,087,168,680)
	Accrued project cost	(iii-b)	—	—	—	(28,818,423,863)
	Interest Payable	Note 17	—	(1,835,301,627)	—	—
	Information technology software	Note 21 (iii-c)	801,920,934	(3,412,087,282)	659,551,657	(2,550,724,656)
	Technical maintenance cost	Note 21 (iii-c)	1,945,535,493	(6,049,291,117)	871,001,210	(5,500,086,758)
Shenzhen Cocreation Technology Co., Ltd. (Shenzhen)						
	Interest Payable	Note 17	—	(344,019,099)	—	(335,572,588)
China Telecom Global Limited (CTG)						
	Cable lease	(i-b) (ii-b)	62,747,031	4,235,364	46,206,368	—
	Accrued lease payable	Note 17	—	(145,745,557)	—	(84,558,586)
China Telecom (Asia Pacific) Pte. Ltd. (CTAP)						
	Cable lease	(i-b) (ii-b)	6,374,059	2,109	22,611,724	—
	Accrued lease payable	Note 17	—	(28,685,336)	—	(51,142,265)
China Communications Services Philippines Corporation (CCSPC)						
	Services rendered	Note 17 (iii-e-h)	40,925,361	(59,196,753)	11,143,103	(70,148,087)
	Capital expenditures	(iii-d)	—	(41,917,837)	—	(30,708,171)
Phoenix Petroleum Philippines, Inc.						
	Fuel Expense	(vi)	—	—	399,885	(13,233)
Worklink Services Inc.						
	Services rendered	(iii-i)	9,534,539	(9,559,526)	17,243,017	(27,279,744)
Others						
	Advances granted	(i-a)	—	3,034,876	—	11,306,857
	Advances received	(i-b)	20,319,915	(3,860,397)	345,723,927	(24,180,312)

Advances to and from Affiliates

The Group obtains and grants cash advances from and to related parties for working capital requirements and other purposes.

i. Advances to Affiliates

The outstanding balance, including the accrued interest, are presented as Advances to affiliates under Receivables account in the consolidated statements of financial position (see Note 11).

The movements in the advances to affiliates are as follows:

	Ultimate Parent	Related parties under common ownership	Others	Total
September 30, 2025				
Balance at the beginning of year	P25,174,890	P4,500,000	P11,306,857	P40,981,747
Offset against advances	—	—	(8,271,981)	(8,271,981)
Balance at the end of year	P25,174,890	P4,500,000	P3,034,876	P32,709,766
December 31, 2024				
Balance at the beginning of year	P24,459,265	P252,314,773	P25,654,200	P302,428,238
Advances during the year	715,625	—	3,219,000	3,934,625
Offset against advances	—	(247,814,773)	(9,069,749)	(256,884,522)
Collection of advances	—	—	(8,496,594)	(8,496,594)
Balance at the end of year	P25,174,890	P4,500,000	P11,306,857	P40,981,747

Management has determined that there is no impairment loss to be provided from the aforementioned advances as at September 30, 2025 and December 31, 2024.

ii. Advances from Affiliates

The Group also received cash advances from the minority shareholders and Udenna for working capital requirements. The advances, presented as Advances from affiliates under Trade and Other Payables account in the consolidated statements of financial position (see Note 17), are unsecured, non-interest-bearing, payable on demand and are to be settled either in cash or through offsetting.

The movements in advances from affiliates are as follows:

	Ultimate Parent	Related parties under common ownership	Other Shareholders	Others	Total
September 30, 2025					
Balance at the beginning of year	P496,908,080	P63,425,004	P10,426,908,990	P15,639,504,877	P26,626,746,951
Advances during the year	—	69,178,212	—	853,204,652	922,382,864
Offset against advances	(30,697,818)	—	—	—	(30,697,818)
Balance at the end of year	P466,210,262	P132,603,216	P10,426,908,990	P16,492,709,529	P27,518,431,997
December 31, 2024					
Balance at the beginning of year	P787,063,256	P286,654,212	P—	P14,865,165,332	P15,938,882,800
Advances during the year	—	122,296,904	10,426,908,990	663,509,800	11,212,715,694
Payment of advances	(190,000,000)	(130,526,112)	—	—	(320,526,112)
Offset against advances	(100,155,176)	(215,000,000)	—	(144,491,762)	(459,646,938)
FOREX	—	—	—	255,321,507	255,321,507
Balance at the end of year	P496,908,080	P63,425,004	P10,426,908,990	P15,639,504,877	P26,626,746,951

iii. Lease Transactions

The Group has entered into lease agreements with the following related parties:

a. *Office and Land Rental*

In 2019, Dito Tel entered into lease contracts with Udenna Tower Corporation (Udenna Tower) and GGDC for the lease of office space and land, respectively. The lease term of the office space and land are 10 years and 64 years, respectively.

In 2021, Dito Tel entered in another lease contract with Udenna Tower Corporation in relation to retail space and in-building solution with lease term of 2 years and 5 years, respectively. In 2023, there is a renewal for another year on said retail space, and an additional office area commencing September 2023 for 5 years. In 2025, retail space renewed commencing June 2025 is converted to DITO Business Hub and is rented for another five years.

Right-of-use assets and lease liabilities related to these lease contracts amounting to ₱7.3 billion and ₱347.0 million, respectively in 2024 and ₱7.6 billion and ₱566.5 million, respectively, in 2024 (see Note 16).

In 2019, Dito Tel entered into an intercompany offsetting arrangement with Udenna and GGDC. GGDC assigned the lease receivable from Dito Tel amounting to ₱3.9 billion to Udenna for the latter's payment of subscription payable to Dito Tel (see Notes 16 and 17).

b. *Cable Lease*

In 2020, Dito Tel entered into a Master Service Agreement with China Telecom Global Limited/ China Telecom (Asia Pacific) Pte. Ltd. for the lease of global internet access lines and data peering services. These are included as part of the "Rentals" and "Outsourced services" in the statement of comprehensive income (see Note 21).

iii. Services Rendered

The Group has entered into the service agreements with the following related parties:

a. *Transmission Network Leasing Agreement*

In 2020, Dito Tel engaged the services of Udenna to secure certain transmission network infrastructure facilities leases from third party lessor. Services include review of transmission network lease agreements from legal and commercial perspective and coordination with Dito Tel to establish the project progress monitoring process. Until the recognition of the related ROU, the initial prepayment amounting to ₱220.0 million was capitalized and classified as part of "Deferred charges" under "Other noncurrent assets" in the statement of financial position. Remaining balance of the "Deferred charges" amounted to ₱121.6 million and ₱121.6 million as at September 30, 2025 and December 31, 2024, respectively (see Note 9).

b. *EPC Services (see Note 21)*

On December 16, 2019, Dito Tel entered into an "Early Works Agreement (EWA)" with FNT. Under this agreement, FNT shall assist Dito Tel in the engineering, procurement, construction and rollout of 4G/5G-ready telecommunications network in the Republic of the Philippines.

On August 31, 2020, Dito Tel entered into an onshore EPC agreement with FNT and offshore EPC agreement with Shenzhen Cocreation to supersede the EWA. These

arrangements replace any contractual arrangements between parties under EWA. The onshore EPC agreement includes construction of 4G/5G mobile communication nationwide network across over 3,500 physical sites, greenfield towers and poles and other mobile base station supporting facilities, national optical cable metropolitan network and optical backbone network, submarine cable landing station and submarine cable and domestic submarine cable, international gateway facility, large-scale data centers, and other works as needed. On the other hand, the offshore EPC agreement includes procurement of servers and data centers, network equipment for mobile and wireless networks, cables, fiber optic networks, IT software development, and other works as needed.

In relation to these arrangements, FNT shall assist Shenzhen Cocreation in developing the procurement plan, health and safety policy and procedures, quality assurance plan, procedures manual, equipment manuals, operating procedures, the implementation schedule, general inspection and testing procedure, performance test programs and other site procedures. Dito Tel shall be responsible to acquire, use of, or provide FNT and Shenzhen Cocreation with use of the site. Any failure of Dito Tel may result to extension of time ground and entitlement of additional payment to the FNT and Shenzhen Cocreation.

On the same day, FNT, along with the other concerned affiliates of China Telecom, signed a Project Coordination Deed with Dito Tel to support the development, financing, design, procurement, construction, commissioning, testing, completion, operation and maintenance of the roll-out of the telecommunication network of the Group. This is to ensure that the independent performance by the different parties to the contract are coordinated so that the rollout of the network is completed without delay and to the standards and specifications required by the EWA/ EPC contract so as to deliver to Group a complete and fully functional network.

The guaranteed maximum contract price of onshore and offshore agreement amounted to US\$4.0 billion and is inclusive of all taxes. Any costs incurred beyond the maximum contract price shall be in the account of FNT and Shenzhen Cocreation without reimbursement from the Group.

c. Maintenance cost and IT software

On November 2021, Dito Tel entered into a Maintenance Service Outsource Project under PTO Technical Maintenance Contract (TMC) with FNT, with a term of five years, subject to early termination or renewal. The Services shall include, without limitation, the following maintenance and technical services:

- network security maintenance and security guards
- optimization services
- network upgrades services
- network monitoring services
- limited licensed use of FNT's technology and software and relevant IT support services indirect relation to the Services; and
- any other maintenance or technical services as may be requested by Dito Tel from time to time, provided that no maintenance or technical services shall be provided that contravene the provisions of Commonwealth Act No.108, as amended by Presidential Decree No. 715.

- d. *Framework Agreement for Design Service Projects for Leasing and Purchasing Fiber Optic Cables*
Dito Tel engaged the services of CCSPC for the design service projects for leasing and purchasing fiber optic cables providing a feasibility report, completing the lease and purchase fiber optic cable preliminary design and survey of the PTO project, as well as cooperating with the construction unit to carry out project management support, project technical support and other survey and on-site design work. These are included as part of the “Construction in-progress” under Property and equipment in the statement of financial position (Note 6).
 - e. *Tower Certification and Design Consulting Service*
Dito Tel engaged the services of CCSPC for the consultancy work of analysis of existing tower banks, requirements research and collection, technology demonstration and selection, drawing certification and design drawing preparation, output design content including signed design drawings and corresponding calculation reports and other related consultancy work. These are included as part of the “Consultancy fees” in the statement of comprehensive income (Note 21).
 - f. *Power Bill Project*
CCSPC will contact all lessors in advance to collect all power bills of Dito Tel under sites maintained by CCSPC. CCSPC shall receive the bill and transfer to Dito Tel after the tenant receives the bill for the corresponding sites. These are included as part of the “Utilities” in the statement of comprehensive income (Note 21).
 - g. *Sales Distribution of DITO FWA Products*
CCSPC shall be authorized to market, distribute and resell DITO products and services, including FWA products. These are included as part of the “Cost of inventories sold and used” in the statement of comprehensive income (Note 5).
 - h. *Framework Agreement for the Network Planning and Feasibility Study Service*
Dito Tel engaged the services of CCSPC for the feasibility study that will analyze the technical advancements, economic rationality, and construction feasibility offering practical advice for project investment. These are included as part of the “Research expense” in the statement of comprehensive income (Note 21).
 - i. *Freight expense*
On May 24, 2021, Dito Tel signed a service level agreement with Worklink Services Inc., wherein Worklink Services Inc is engaged in providing persons, corporations and other entities with courier, forwarding, trucking, warehousing and account management services. These are included as part of Freight expense under “Others” in the statement of comprehensive income (see Note 21).
 - j. *FWA service installation fulfillment*
Dito Tel engaged the services of Udenna Infra for the end-to-end service installation of FWA to its customers. These are included as part of the “Outside services” in the statement of comprehensive income (Note 21).
- iv. Performance Bond Fees
Pursuant to the requirement of the NTC, Dito Tel shall procure the issuance of a standby letter of credit for an amount equal to the Performance Security within fifteen (15) days after the request of NTC. China Telecom agreed to procure the issuance of the performance security in exchange for a performance bond fee. The amounts of performance bond fee to

China Telecom in 2024 are included as part of the “Outside services” under “Operating expenses” section in the statement of comprehensive income (see Note 21). The transaction amounted to nil and ₱1.4 million in 2025 (nine months) and 2024, respectively.

v. Advance Agreement

On July 14, 2021, Dito Tel signed a one-year interest bearing CNY650.0 million or ₱5,162.3 million Advance Agreement with CTIPL to fund its operating expenditures and working capital requirements.

On March 14, 2022, Dito Tel signed another one-year interest-bearing of CNY195.0 million and CNY 455.0 million totaling CNY650.0 million or ₱5,224.2 million Advance Agreement with CTIPL to fund its operating expenditures and working capital requirements. As at December 31, 2024, CNY627.8 million or ₱5,035.3 million was drawn.

On February 13, 2023, signed another one-year interest-bearing of CNY195.0 million and CNY 455.0 million totaling CNY650.0 million or ₱5,078.3 million Advance Agreement with CTIPL to fund its operating expenditures and working capital requirements. As at December 31, 2024, CNY502.8 million or ₱3,978.0 million was drawn.

As at September 30, 2025 and 2024 interest expenses incurred amount to ₱395.2 million and ₱398.6 million respectively, are presented as part of “Interest expense and other bank charges” in the statement of comprehensive income.

The right to the Advances Agreement were used as collateral to secure the payment of a portion of the Group’s loans payable.

vi. Fuel expense

On September 1, 2019, Dito Tel signed a three-year memorandum of agreement with Phoenix Petroleum Philippines, Inc. (Phoenix), wherein Phoenix will issue Phoenix Fleet Cards (Fleet Cards) to persons and/or vehicles. The Fleet Cards shall be used solely for purposes of purchasing fuels or lubricants from all selected and participating Phoenix gas stations either online, offline or through manual transactions. The memorandum of agreement ended March 31, 2023.

Offsetting of Financial Assets and Financial Liabilities

Financial assets and financial liabilities are settled on a gross basis; however, each party to the financial instrument (particularly related parties) will have the option to settle all such amounts on a net basis in the event of default of the other party through approval by both parties’ BOD and stockholders. As such, the Group’s outstanding receivables from related parties can be potentially offset by the amount of outstanding liabilities to the same related parties.

As part of the consolidation adjustments to reflect the share swap transaction between the Parent Company and Udenna, the Group offset the Parent Company's outstanding receivables to Udenna against UCME's advances from Udenna amounting to ₱3,901.7 million as these advances are receivable and payable of the Group with the same related party.

Key Management Compensation

The Group’s key management compensation includes short-term benefits and are presented as part of Salaries and employee benefits under General, Selling and Administrative Expenses section in the consolidated statements of comprehensive income (see Note 21).

19. Pension Liability

As at September 30, 2025 and December 31, 2024, the Group's outstanding retirement obligation amounted to ₱98.4 million as presented in the consolidated statements of financial position.

20. Income Taxes

Income Tax Holiday

On November 7, 2019, Dito Tel received the BOI approval for the application as New Operator of Telecommunications System (Telecommunications Services). The approval embodies the following benefits:

- ITH for four years from July 2020 or actual start of commercial operations, whichever is earlier but availment shall in no case be earlier than the date of registration;
- Importation of capital equipment, spare parts and accessories at zero duty under Executive Order No. 85 and its Implementing Rules and Regulations;
- Additional deduction for labor expense for a period of five years from registration, an amount equivalent to fifty percent (50%) of the wages corresponding to the increment in number of direct labor for skilled and unskilled workers in the year of availment as against the previous year, subject to the following conditions:
 - i. the project meets the prescribed ratio of capital equipment to the number of workers set by the Board; and,
 - ii. may be availed of for the first five years from date of registration but not simultaneously with ITH.
- Employment of foreign nationals for supervisory, technical or advisory positions for five years from date of registration. The president, general manager and treasurer of foreign-owned registered enterprises or their equivalent shall not be subject to the foregoing limitations; and,
- Simplification of customs procedures for the importation of equipment, spare parts, raw materials and supplies.

On July 2, 2020, the BOI, through Resolution No. 12-12, Series of 2020, has approved the request of Dito Tel to move its start of commercial operations and ITH reckoning date from July 2020 to March 2021, noting that Dito Tel's operation has been affected or disrupted by COVID-19 pandemic and Dito Tel has not fully enjoyed the incentives granted to it for reasons beyond its control pursuant to Article 7 (14) of Executive Order No. 226, otherwise known as the Omnibus Investments Code of 1987, as amended.

On March 7, 2025, the Company's incentives related to ITH as a non-pioneer registered enterprise have expired. Other incentives with no specific number of years of entitlement may be enjoyed for a maximum period of ten (10) years from the start of actual commercial operation and/or date of registration.

21. General, Selling And Administrative Expenses

This account consists of:

	2025	2024
Repairs and maintenance (Note 18)	₱2,704,063,152	₱2,102,407,545
Utilities (Note 18)	2,148,423,109	1,913,311,749
Taxes and licenses	1,817,997,858	1,277,227,788
Salaries and employee benefits (Notes 18 and 19)	1,791,703,531	1,336,957,748
Outside services (Note 18)	1,580,193,602	1,596,347,906
Insurance	455,694,504	376,619,225
Advertising and promotions	392,143,854	606,092,115
Rentals (Notes 16 and 18)	370,833,878	433,292,196
Impairment Losses	162,473,930	—
Travel and transportation	107,481,257	69,320,117
Professional fees	56,369,776	120,201,998
Representation and entertainment	20,935,146	18,339,271
Research	6,070,614	—
Others	416,794,742	318,841,664
	₱12,031,178,953	₱10,168,959,322

22. Loss Per Share

Loss per share is computed as follows:

	2025	2024
Net loss attributable to Parent Company's shareholders	(₱9,648,840,060)	(₱11,053,407,253)
Divided by weighted number of outstanding common shares	21,488,500,000	19,535,000,000
	(₱0.4490)	(₱0.5658)

The Group does not have dilutive potential common shares outstanding as at September 30, 2025 and 2024; hence, diluted loss per share is equal to the basic loss per share.

23. Significant Commitments and Contingencies

The following are the significant commitments and contingencies involving the Group:

CPCN Commitments

On July 8, 2019, NTC issued a CPCN to Dito Tel allowing it to operate as telecommunication company. The term of the license is for a period of 15 years from the date of grant or July 8, 2034 or upon expiration of Dito Tel's congressional franchise, whichever comes first, subject to the major terms and conditions as discussed below:

a. Investment, Performance and Timeline Commitment

Dito Tel shall achieve the following capital expenditures (Capex) and operating expenditures (Opex) roll-out, network coverage plan and speed (mbps) during the five-year period:

Commitments	Year 1	Year 2	Year 3	Year 4	Year 5
Cumulative coverage (%)	37.03	51.01	70.01	80.01	84.01
Speed	27	55	55	55	55
Capex and Opex (in Php billions)	150	176	203	230	257

As at September 30, 2025 and December 31, 2024, Dito Tel has spent ₱355.1 billion and ₱327.7 billion, respectively, for its telecommunication sites and equipment for the roll-out pursuant to its investment commitments under the CPCN.

Under Clarificatory Bulletin No.4, item no. 4 dated October 23, 2018 issued by NTC, not meeting the Capex and Opex requirement does not constitute breach of the CPCN, so long as the national population coverage and minimum average broadband speed are met.

b. Performance Security

Dito Tel shall maintain its performance security by submitting cash or irrevocable standby letters of credits to cover each subsequent year of the commitment period, computed in the amount of at least 10% of the remaining cumulative capital and operational commitments. The validity shall be one year from the expiration of preceding performance security and shall be submitted to the NTC at least two months prior to the expiration of the previous performance security submitted for the previous year.

In July 2019, Dito Tel submitted its performance security as follows:

1. Standby LC No. BKD2019LG00079 Standby LC amount: US\$252,000,000 issued by the Export-Import Bank of China, Beijing, valid from July 8, 2019 until July 7, 2020.
2. Standby LC No. GC2011419000229 Standby LC amount: US\$252,000,000 issued by Bank of China, Beijing Branch, valid from July 8, 2019 until July 7, 2020.

In July 2020, the validities of the Standby LCs with Export-Import Bank of China (Beijing) and Bank of China (Beijing) were extended to July 7, 2021. The total value of the Performance Security in 2020 and 2019 amounting to US\$504.0 million or ₱25.7 billion, is compliant with the requirement as provided in Section 11 of NTC Memorandum Circular 09-09-2018.

In May 2021, Standby LC No. GC2011419000229 was extended to July 7, 2022 and amount was reduced to USD221.5 million or ₱10.7 billion in compliance with NTC Memorandum Circular 09-09-2018 after passing the second year audit.

In October 2021, the NTC allowed the reduction of the said Standby LC to USD160.8 million or ₱8.0 billion (with extended expiry to May 7, 2023) based on NTC letter issued on October 12, 2021 on the reduction of Committed Investment Face Value for Year 3 to ₱80.0 billion.

In August 2022, NTC declared that DITO Telecommunity passed the Technical Audit of its National Population Coverage and Minimum Average Broadband Speed commitments [“Year 3 Committed Level of Service”] for the third year.

In September 2022 the NTC approved the reduction of the Standby LC to USD97.43 million or ₱5.3 billion with expiry on March 7, 2024, based on NTC letter issued on September 14, 2022 on the reduction of Committed Investment Face Value for Year 4 to ₱53.0 billion.

In November 2023, the NTC approved the reduction of the Standby LC to USD48.59 million or ₱2.7 billion with expiry on March 7, 2025, based on NTC letter issued on November 16, 2023 on the reduction of Committed Investment Face Value for Year 5 to ₱27.0 billion.

In November 2024, the NTC approved the release of the performance security taking into consideration DITO Telecommunity’s compliances with the Terms and Conditions and having passed the Technical Audit of its commitments.

c. Spectrum User Fees (SUF)

Dito Tel shall pay annual SUF within the prescribed period and amounts, based on the number of frequency bands that was assigned by the NTC to Dito Tel including SUF per radio station license application.

In 2020, Dito Tel paid under protest the SUF to NTC amounting to ₱200.0 million for 3G frequencies. In 2024, Dito Tel paid under protest the annual SUF to NTC amounting to ₱245.0 million (₱245.0 million in 2023 and 2022) for 3G frequencies, and additional ₱65.0 million and ₱32.5 million in 2024 and 2023, respectively (nil in 2022), for temporary use of 3G frequency ranges, which is presented as part of “Taxes and licenses” in the consolidated statement of comprehensive income (see Note 21). For the nine months ended September 30, 2025, ₱310.0 million is paid for the 3G frequencies.

d. Supervision and Regulation Fees (SRF)

Dito Tel shall pay an annual SRF for annual reimbursement of the expenses incurred by the NTC in the supervision of other public services. The rate shall be fifty (50) centavos for each ₱100 or fraction thereof, of the prior year capital stock subscribed or paid, or if no shares have been issued, of the capital invested, or of the property and equipment, whichever is higher.

In 2024, 2023, and 2022, Dito Tel paid the SRF to NTC amounting to ₱171.3 million, ₱112.9 million, and ₱84.8 million respectively, which is presented as part of “Taxes and licenses” in the consolidated statements of comprehensive income (see Note 21). As at September 30, 2025, ₱234.8 million is paid for SRF.

e. Use of Assigned Radio Frequency (RF) Spectrum

Should Dito Tel fail to use any of the RF spectrum assigned to it within the prescribed and commitment period, as the case maybe, the subject RF spectrum shall revert to the government. As at September 30, 2025 and December 31, 2024, Dito Tel is compliant with this provision.

f. Prohibition to Enter in a Business Combination with Dominant Telecommunications Player

During the commitment period, or any extension thereof, Dito Tel is prohibited to enter in any business combination or merger with or become a related party to any dominant telecommunication player. After the said period, any business combination or merger, shall be subject to and shall comply with the Philippine Competition Act and other applicable laws. Dito Tel has no intention of entering in a business combination with other telecommunication players.

g. Technical Audit

Pursuant to NTC Memorandum Circular No. 09-09-2018 and based on the factual findings reported by R.G. Manabat and Co., the Independent Technical Auditor, NTC declared that Dito Tel passed the Technical Audit of its commitments, National Population Coverage and Minimum Average Broadband Speed, for Years 1 to 5.

24. Financial Risk Management Objectives and Policies and Fair Value Measurement

The Group is exposed to a variety of financial risks in relation to cash in banks, receivables (excluding advances to employees), refundable security deposits, accounts payable and other current liabilities (excluding withholding taxes payables), loans payable and lease liabilities. The main purpose of these financial instruments is to finance the Group's network build and operations. The main risks arising from the use of these financial instruments include credit risk, liquidity risk, foreign currency risk and interest rate risk.

The BOD has overall responsibility for the establishment and oversight of the Group's risk management framework. The BOD has established the Executive Committee, which is responsible for developing and monitoring the Group's risk management policies. The committee identifies all issues affecting the operations of the Group and reports regularly to the BOD on its activities.

The Group does not actively engage in the trading of financial assets for speculative purposes nor does it write options. The relevant financial risks to which the Group is exposed are summarized below.

Fair Values of Financial Instruments

The following method and assumption were used to estimate the fair value of the Group's financial instruments:

Carrying Amounts and Fair Values by Category

The Group has no financial assets and financial liabilities carried at fair value, other than its financial assets at FVOCI. The valuation is based on the market prices quoted in PSE at the end of each reporting period; hence categorized within Level 1.

Cash, Receivable and Accounts payable and other current liabilities

Due to the short-term nature of the transactions, the fair values approximate their carrying values.

For refundable deposits and loans payable, difference of the fair value and carrying value is not significant since refundable deposits are stated at present value and loans payable are bearing interest at market rate.

Credit Risk

Credit risk arises because the counterparty may fail to discharge its contractual obligations. As a matter of policy, the Group limits its maximum exposure to credit risk to the amount of carrying value of the instruments. The Group transacts only with related parties and with recognized and creditworthy third parties.

The table below shows the maximum exposure to credit risk of the Group as at September 30, 2025 and December 31, 2024 as follows:

	2025	2024
At amortized cost:		
Cash in banks (Note 10)	₱740,714,099	₱1,173,609,390
Receivables* (Note 11)	616,477,951	446,683,467
Contract assets (Notes 9 and 11)	259,858,871	213,759,428
Refundable deposits (Notes 9 and 13)	681,511,813	851,376,073
	₱2,298,562,734	₱2,685,428,358

**Excluding advances to employees amounting to ₱33.2 million and ₱36.1 million as at September 30, 2025 and December 31, 2024, respectively.*

Financial assets of the Group are neither past due nor impaired.

The credit quality of the financial assets was determined as follows:

- Grade A
This includes cash deposited with banks having good reputation and bank standing and receivables from customers or affiliates that always pay on time or even before the maturity date.
- Grade B
This includes receivables that are collected on their due dates provided that they were reminded or followed up by the Group.
- Grade C
This includes receivables which are still collected within their extended due dates.

Liquidity Risk

Liquidity risk arises from the possibility that the Group may encounter difficulties in raising funds to meet or settle its obligations within a reasonable period of time.

The Group maintains a financial strategy to raise adequate capital, obtain long-term financing and when applicable, generate cash from its business operations to satisfy debt service requirements by entering into project finance loan facility and shareholder loans. In addition, the shareholders are also committed to infuse additional capital in accordance with the schedule of infusion indicated in the investment agreement.

The tables below summarize the maturity profile of the Group's financial assets and financial liabilities as at September 30, 2025 and December 31, 2024 based on contractual undiscounted payments.

	2025			Total
	Due and Demandable	Less than 1 year	1 year or above	
Cash in banks	₱740,714,099	₱–	₱–	₱740,714,099
Advances to related parties	32,709,766	–	–	32,709,766
Receivables from dealers and carriers*	467,739,220	–	–	467,739,220
Receivable from postpaid subscribers	283,603,158	–	–	283,603,158
Contract assets	–	90,105,372	–	90,105,372
Refundable deposits	–	53,156,826	628,354,987	681,511,813
Financial asset at FVOCI	–	–	42,926,479	42,926,479
Financial assets	1,524,766,243	143,262,198	671,281,466	2,339,309,907
Accounts payable	–	5,927,727,639	–	5,927,727,639
Accrued project costs	–	33,571,467,172	–	33,571,467,172
Accrued expenses	–	19,357,256,841	–	19,357,256,841
Advances from related parties	–	27,518,431,997	–	27,518,431,997
Note payable	–	15,949,436	295,243,877	311,193,313
Lease liabilities	–	5,907,124,549	15,937,796,116	21,844,920,665
Loans payable	–	15,949,436	209,297,219,132	209,313,168,568
Financial liabilities	₱–	₱92,313,907,070	₱225,530,259,125	₱317,844,166,195

	2024			Total
	Due and Demandable	Less than 1 year	1 year or above	
Cash in banks	₱1,173,609,390	₱–	₱–	₱1,173,609,390
Advances to related parties	40,981,747	–	–	40,981,747
Receivables from dealers and carriers*	257,604,976	–	–	257,604,976
Receivable from postpaid subscribers	125,723,501	–	–	125,723,501
Contract assets	–	166,647,893	47,111,535	213,759,428
Refundable deposits	–	–	851,376,073	851,376,073
Financial asset at FVOCI	–	–	40,307,883	40,307,883
Financial assets	1,597,919,614	166,647,893	938,795,491	2,703,362,998
Accounts payable	–	7,363,175,458	–	7,363,175,458
Accrued project costs	–	32,357,970,455	–	32,357,970,455
Accrued expenses	–	14,356,804,989	–	14,356,804,989
Advances from related parties	–	26,626,746,952	–	26,626,746,952
Note payable**	–	19,241,175	304,523,697	323,764,872
Lease liabilities	–	4,800,822,577	25,938,261,690	30,739,084,267
Loans payable**	–	14,866,569,935	326,156,817,077	341,023,387,012
Financial liabilities	₱–	₱100,391,331,541	₱352,399,602,464	₱452,790,934,005

*Including 'Other receivables'

**Including future interest

Foreign currency exchange risk

The Group has recognized in the statements of comprehensive income net foreign exchange gain/loss amounting to ₱2.2 billion loss and ₱1.6 billion loss in 2025 and 2024, respectively, which resulted mainly from the movements of the US Dollar (USD) and Chinese Yuan (CNY) against the Philippine Peso.

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

USD and CNY foreign currency denominated financial assets and financial liabilities, translated into Philippine Pesos at the closing rate, are as follows:

	September 30, 2025			
	USD	PHP Equivalent	CNY	PHP Equivalent
Current financial assets				
Cash in banks	2,340,491	135,846,766	4,877,282	39,749,364
Noncurrent financial assets				
Refundable deposits	450,000	26,118,900	—	—
Total financial assets	2,790,491	161,965,666	4,877,282	39,749,364
Current financial liabilities				
Accounts payable and other current liabilities	192,138,150	11,152,082,509	4,732,933,291	38,572,933,029
Advances from related parties	—	—	2,001,360,406	16,310,887,175
	192,138,150	11,152,082,509	6,734,293,697	54,883,820,204
Noncurrent financial liabilities				
Notes payable	3,241,218,693	188,126,815,377	2,561,400,738	20,875,159,878
Loans payable	5,000,000	290,210,000	—	—
	3,246,218,693	188,417,025,377	2,561,400,738	20,875,159,878
Total financial liabilities	3,438,356,843	199,569,107,886	9,295,694,435	75,758,980,082

¹The exchange rates used to convert the USD and CNY amounts into Philippine Peso were ₱58.042 and ₱8.1499, respectively, the exchange rates as quoted through the Bangko Sentral ng Pilipinas as at September 30, 2025.

	December 31, 2024			
	USD	PHP Equivalent	CNY	PHP Equivalent
Current financial assets				
Cash in banks	870,094	50,477,622	184,643	1,467,875
Noncurrent financial assets				
Refundable deposits	450,000	26,106,300	—	—
Total financial assets	1,320,094	76,583,922	184,643	1,467,875
Current financial liabilities				
Accounts payable and other current liabilities	(177,313,219)	(10,286,649,087)	(4,487,099,311)	(35,671,542,103)
Advances from related parties	—	—	(1,951,543,736)	(15,514,382,392)
	(177,313,219)	(10,286,649,087)	(6,438,643,047)	(51,185,924,495)
Noncurrent financial liabilities				
Notes payable	(5,000,000)	(290,070,000)	—	—
Loans payable	(3,130,027,215)	(181,585,398,851)	(2,374,738,498)	(18,878,696,111)
	(3,135,027,215)	(181,875,468,851)	(2,374,738,498)	(18,878,696,111)
Total financial liabilities	(3,312,340,434)	(192,162,117,938)	(8,813,381,545)	(70,064,620,606)

¹The exchange rates used to convert the USD and CNY amounts into Philippine Peso were ₱58.014 and ₱7.9498, respectively, the exchange rates as quoted through the Bangko Sentral ng Pilipinas as at December 27, 2024.

The following table presents the impact on the Group's loss before income tax (due to changes in the fair values of foreign currency denominated financial assets and liabilities) of changes in the exchange rate between the foreign currencies and the Philippine Peso (holding all other variables constant) as at September 30 (amounts in billions of Philippine Peso unless otherwise indicated). These percentages have been determined based on the average market volatility in exchange rates, using standard deviation, in 9 months for 2025 and 2024 estimated at 95% level of confidence. The sensitivity analysis is based on the Group's foreign currency-denominated financial instruments held at the end of the reporting period.

	2025	2024
	Effect on Loss Before Tax (in billions)	
Change in US Dollar to Philippine Peso:		
9.73% (2025) / 12.45% (2024) appreciation	₱19.4	₱23.7
9.73% (2025) / 12.45% (2024) depreciation	(19.4)	(23.7)
Change in Chinese Yuan to Philippine Peso:		
9.22% (2025) / 9.62% (2024) appreciation	7.0	6.1
9.22% (2025) / 9.62% (2024) depreciation	(7.0)	(6.1)

Exposures to foreign exchange rates vary during the year depending on the volume of transactions. Nonetheless, the analysis above is considered to be representative of the Group's foreign currency risk.

Interest rate risk

The Group's exposure to the risk for changes in market interest rates relates primarily to the Group's bank loans. The Group's policy is to manage its interest cost using a variable debt rate.

The terms of the interest-bearing financial assets and financial liabilities, together with its corresponding nominal amounts and carrying values for September 30, 2025 and December 31, 2024 are shown in the following table:

	Effective Interest Rate	2025
Loans payable		
LIBOR rate debts	4.549% - 8.394%	₱202,382,063,703
	Effective Interest Rate	2024
Loans payable		
LIBOR rate debts	4.648% - 9.027%	₱194,720,210,486

The assumed movement in basis points for interest rate sensitivity analysis is based on the Group's historical changes in market interest rates on unsecured bank loans.

The terms and maturity profile of the interest-bearing financial assets and liabilities, together with their corresponding nominal amounts and carrying values are shown in the following table:

September 30, 2025							
	Interest terms (p.a.)	Rate Fixing Period	Nominal Amount	< 1 year	1 to 5 years	> 5 years	Carrying Value
Cash in banks	Fixed at the date of deposit	Various	₱740,714,099	₱740,714,099	₱—	₱—	₱740,714,099
Loans payable	LIBOR rate	Quarterly	₱209,313,168,568	₱15,949,436	₱17,078,102,490	₱192,219,116,642	₱192,505,900,346
December 31, 2024							
	Interest terms (p.a.)	Rate Fixing Period	Nominal Amount	< 1 year	1 to 5 years	> 5 years	Carrying Value
Cash in banks	Fixed at the date of deposit	Various	₱1,173,609,390	₱1,173,609,390	₱—	₱—	₱1,173,609,390
Loans payable	LIBOR rate	Quarterly	₱194,720,210,486	₱17,477,182	₱10,838,303,928	₱183,864,429,376	₱184,394,032,786

Equity price risk

Financial assets at FVOCI are acquired at certain prices in the market. Such investment securities are subject to price risk due to changes in market values of instruments arising either from factors specific to individual instruments or their issuers, or factors affecting all instruments traded in the market. Depending on several factors such as interest rate movements, the country's economic performance, political stability, and domestic inflation rates, these prices change, reflecting how market participants view the developments. The Company's investment policy requires it to manage such risks by setting and monitoring objectives and constraints on investments; diversification plan; and limits on investment in each sector and market.

The Company has not presented the sensitivity of change in market index to reasonably possible change due to the insignificance of impact of effect on equity.

25. Capital Management Objectives, Policies And Procedures

The Group's capital management objectives are to ensure the Group's ability to continue as a going concern in order to provide adequate returns in the future to its stockholders and benefits for other stakeholders.

The Group monitors capital on the basis of the carrying amount of capital deficiency as presented in the consolidated statements of financial position. Capital for the reporting periods under review is summarized as follows:

	2025	2024
Total liabilities	₱304,645,011,679	₱292,323,874,316
Total capital deficiency	(95,312,120,072)	(73,390,466,634)
Debt-to-capital deficiency ratio	(3.1963 : 1)	(3.9831 : 1)

The BOD's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The BOD has overall responsibility for monitoring of capital in proportion to risk. Profiles for capital ratios are set in the light of changes in the Group's external environment and the risks underlying the Group's business operations and industry.

BOD uses debt-to equity ratio to monitor and review, on a regular basis, the Group's capital, defined as total equity includes capital stock, additional paid-in capital, revaluation reserves and retained earnings, as shown in the consolidated statements of financial position.

Aging of Receivables as of September 30, 2025

	Balance	Current to 30 days	31-60 days	61-150 days	151-240 days	Over 240 days
Receivables from dealers and carriers	464,216,304	140,958,518	180,773,325	113,635,052	19,512,429	9,336,980
Receivables from postpaid subscribers	283,603,158	84,134,675	24,920,918	57,559,679	29,510,902	87,476,984
Contract asset - net of noncurrent portion	90,105,372	-	-	-	-	90,105,372
Receivables from customers	36,175,873	3,351,635	5,996,396	482,588	2,818,492	23,526,762
Advances to officers and employees	57,694,145	6,990,651	5,316,839	15,423,010	-	29,963,645
Advances to affiliates	32,709,766	-	-	-	-	32,709,766
Others	3,522,916	-	-	-	-	3,522,916
	968,027,534	235,435,479	217,007,478	187,100,329	51,841,823	276,642,425

MANAGEMENT REPORT

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

DITO CME Holdings Corporation ("DITO CME", the "Company") is a holding and investment company focusing on identifying and capitalizing differentiated investment opportunities within the information and communications technology (ICT) sector. The Company focuses on segments that play a significant role in the way people communicate, transact, share information, and consume content and data. The Company has diverse assets in various segments within the ICT sector, including telecommunications, digital media and content, managed analytics, among others.

This discussion summarizes the significant factors affecting the consolidated operating results and financial condition of DITO CME Holdings Corp. and its Subsidiaries (the "Group") as of September 30, 2025 and December 31, 2024 and for the nine-month periods ended September 30, 2025 and 2024. The following discussions should be read in conjunction with the attached unaudited interim consolidated financial statements of the Group as of September 30, 2025.

Comparable discussion on Material Changes in Results of Operations for the nine-month periods ended September 30, 2025 and 2024.

Financial Performance (In millions - Php)	September 30,		Change	%
	2025	2024		
Revenues	14,923	11,892	3,031	25%
Cost and expenses				
Cost of inventories sold and used	1,153	952	201	21%
General, selling and administrative expenses	12,031	10,169	1,862	18%
Depreciation and amortization	11,470	10,557	913	9%
Sub-total	24,654	21,678	2,976	14%
Operating loss	(9,731)	(9,786)	55	1%
Other charges - net	(15,203)	(16,060)	857	5%
Loss before tax	(24,934)	(25,846)	912	4%
Tax expense	-	(10)	10	100%
Net loss	(24,934)	(25,856)	922	4%
Add back:				
Foreign currency exchange losses - net	2,231	1,551	680	44%
Depreciation and amortization	11,470	10,557	913	9%
Interest expense	12,820	14,495	(1,675)	-12%
Interest income	(22)	(20)	(2)	10%
Tax expense	-	10	(10)	100%
EBITDA	1,565	737	828	112%

For the nine-month periods ended September 30, 2025 and 2024, the Group reported consolidated net losses after tax of P24,934 million and P25,856 million, respectively, or a reduction of 4% on a year-on-year basis.

Consolidated revenues, which are mainly generated by DITO Tel, increased by 25% to P14,923 million in the nine-month period of 2025 from P11,892 million in the same period last year. The increase in revenue was driven mainly by the increase in mobile and fixed wireless access (FWA) subscribers as well as a substantial increase in enterprise and carrier net revenues.

In the nine-month period of 2025, DITO Tel's mobile and FWA subscribers grew by 1.518 million and 0.181 million, respectively, when comparing to the same period last year. Mobile subscriber growth can be attributable to various promotional activities such as the ESIM Double Day campaign and DITO eShop Select Your Number promo. New license stores were opened as well as the launch of the License Store Light concept, which further penetrated the consumer market. Promotional activities targeting students on campuses and school sites were also launched during the year. The strong growth in FWA subscriber activations was driven by a new FWA product with a mobile SIM pack promoted on several popular social media platforms as well as on the DITO eShop. Furthermore, aside from these numerous promotional activities, DITO Tel has strengthened its distribution infrastructure to be able to increase its daily activations of mobile prepaid subscribers.

Further fueling subscriber growth was the acceleration in the increase in network coverage (+61 cities and municipalities up to end-September 2025) nearly double the increase of 33 cities and municipalities in the same period last year.

The majority of the Group's revenue is derived from operations within the Philippines with no single customer exceeding ten percent (10%) of total revenues.

At the consolidated level, DITO Tel continued to be the largest revenue contributor to the Group, accounting for nearly all of total revenues by providing mobile services to subscribers in prepaid and postpaid arrangements such as Voice, SMS, Data, FWA, Over-the-top (OTT) and Others. Revenues derived outside DITO Tel are also included and are broken down as follows:

Revenue Summary (In millions - Php)	September 30, 2025		September 30, 2024	
	Amount	%	Amount	%
Mobile	13,724	92%	11,239	94%
Data	12,809	86%	8,887	75%
SMS	720	5%	878	7%
Voice	195	1%	1,474	12%
Fixed Wireless Access	861	6%	197	2%
VAS/OTT/Others	1,615	11%	1,360	11%
Gross Service Revenues	16,200	109%	12,796	107%
Less: Discount	(1,718)	-12%	(1,334)	-11%
Net Service Revenues	14,482	97%	11,462	96%
Net Non-Service Revenues	441	3%	430	4%
Net Revenues	14,923	100%	11,892	100%

Within DITO Tel, Mobile continued to be the largest revenue contributor, accounting for 92% of its net revenues, down from 94% in the same period last year. This was followed by VAS/OTT/Others with 11%, followed by FWA and Non-Service Revenues with contributions of 6% and 3%, respectively.

Within Mobile, Voice and SMS revenues collectively declined by 61% year-on-year while Data revenue grew 44% year-on-year. Data revenue up to 3rd quarter of the year now accounts for 86% of DITO Tel revenue, up from 75% in the same period last year. FWA grew 4.4x year-on-year on the back of strong subscriber activations and increased its revenue contribution to 6% from 2% last year.

By end of September 2025, DITO Tel had a total of 15.206 million mobile (both prepaid and postpaid) subscribers and 0.319 million consumer FWA subscribers (also both prepaid and postpaid). For the nine-month period of the year, mobile subscribers generated a monthly average revenue per user (ARPU) of P98 for prepaid and P315 for postpaid, resulting to a blended ARPU of P100, compared to P119 during the same period last year. Despite the year-on-year decline in blended mobile ARPU, the decrease still led to a substantial increase in overall revenues, driven by the growth in mobile subscribers.

For the FWA segment, prepaid and postpaid subscribers generated P203 and P765 in ARPU, respectively, resulting in a blended ARPU of P306, compared to P296 during the same period last year, reflecting a 3% increase.

Network coverage continued to increase in the first nine months of the year to 961 cities and municipalities as of September 30, 2025, from 900 and 886 at the beginning of the year and at the end of the same period last year, respectively.

In September 2024, DITO Tel passed its fifth and final technical audit. The audit reported that the Company reached a national population coverage of 86.30%, with a minimum average broadband speed of 92.87 Mbps for 4G and 345.28 Mbps for 5G. The results surpassed the minimum commitments of 84.01% population coverage and 55 Mbps minimum average broadband speed, respectively.

DITO Tel continued to receive various awards from independent testing organizations, Ookla and Opensignal. Ookla recognized DITO Tel as the “Rated #1 Mobile Network in the Philippines” for three consecutive periods Q1-Q2 2024 and Q3-Q4 2024. In Opensignal’s October 2024 report, DITO Tel was named the “Fastest Mobile Network”, excelling in 14 categories. It maintained recognition in Opensignal’s April 2025 Mobile Network Experience Report.

Depreciation and amortization increased by 9% to P11,470 million from P10,557 million incurred in the same period last year primarily due to continuous addition of capital expenditure. Meanwhile, DITO Tel spent P2,475 million in capital expenditures in the nine-month period of 2025, a 76% year-on-year decrease from the P10,508 million spent in the same period last year, due to lower capital expenditure requirements following the final audit’s completion.

As of September 30, 2025, DITO Tel has 7,324 lighted up towers versus 7,251 at the end of the same period last year and 7,280 at the beginning of the year. This resulted in an increase of 44 towers year-to-date compared to 315 towers added in the same period last year, consistent with the year-on-year decline in capital expenditure.

General, selling, and administrative expenses for the nine-month period ended September 30, 2025 amounted to P12,031 million as compared to P10,169 million in the same period of 2024. This increase was mainly due to the significant operating costs of DITO Tel as part of its continuous commercial rollout during the year. General, selling, and administrative expenses were comprised of the following:

- *Salaries and employee benefits* increased by P455 million or 34% primarily due to the increase in manpower and short-term employee benefits, commissions, incentives, and retirement obligations. As of September 30, 2025, the Group had a little over 1,420 employees compared to a little over 1,350 employees in the same period last year.
- *Outside service, professional fees, and consultancy fees* decreased by P80 million or 5% from the same period last year, attributable to: legal and advisory services, security, competition analysis, network lease and marketing and branding, among others, which are integral to DITO Tel's commercial rollout.
- *Taxes and licenses* increased by P541 million or 42% mainly due to higher volume of accepted sites requiring NTC permits and licenses, as well as higher real property taxes in 2025 compared to 2024.
- *Advertising, marketing expenses, and promotions* decreased by P214 million or 35% mainly due to lower spending on advertising and digital campaigns and less extensive marketing campaign activities, as well as fewer sales events and promotions in 2025. The decrease was also attributed to more prudent expense management.
- *Repairs and maintenance* increased by P602 million or 29% and *Utilities* increased by P235 million or 12% primarily due to higher volume of network maintenance and optimization of accepted assets.
- *Other general and administrative expenses* increased by P98 million or 31%, primarily reflecting the continued growth of the business.

Other charges amounted to P15,203 million and P16,060 million for the nine-month periods ended September 30, 2025 and 2024, respectively. The Group reported a foreign currency exchange loss of P2,231 million from translating foreign currency denominated interest-bearing loans and trade payables in 2025 as compared to P1,551 million in 2024. Interest expense, primarily arising from the amortization of lease liabilities, interest-bearing loans, and advances amounted to P12,820 million in 2025 as compared to P14,495 million in 2024. Interest income, on the other hand, mainly refers to income from bank deposits.

Furthermore, earnings before income tax, depreciation and amortization (EBITDA) rose by 112% year-on-year from P737 million to P1,565 million for the nine-month period of the year. The significant improvement in the Group's EBITDA was the result of unrelenting efforts to increase revenues, instituting effective cost-containment measures.

Comparable discussion on Material Changes in Financial Condition for the periods ended September 30, 2025 and December 31, 2024.

Financial Position (In millions - Php)	September 30, 2025	December 31, 2024	Change	%
Current assets	6,083	6,372	(289)	-5%
Non-current assets	203,250	212,561	(9,311)	-4%
Total Assets	209,333	218,933	(9,600)	-4%
Current liabilities	96,119	87,836	8,283	9%
Non-current liabilities	208,526	204,487	4,039	2%
Total Liabilities	304,645	292,323	12,322	4%
Total Capital Deficiency	(95,312)	(73,390)	(21,922)	30%

The Group's total assets slightly decreased by 4% to P209,333 million as of September 30, 2025 from P218,934 million as of December 31, 2024. The decrease was mainly due to the reduction in non-current assets portion.

Consolidated current assets slightly decreased by 5% to P6,083 million from P6,372 million as of September 30, 2025 and December 31, 2024, respectively, primarily due to the reduction in Prepayments and other current assets. These include input VAT, which amounted to P3,464 million as of September 30, 2025 (P3,786 million as of December 31, 2024).

Consolidated non-current assets, which mainly consist of property and equipment, slightly decreased by 4% or P9,311 million. Property and equipment and right of use assets, which amounted to P179,954 million as of September 30, 2025 as compared to P187,681 million as of December 31, 2024, include accepted assets from the network rollout project and leased sites. These also include intangible assets amounting to P5,038 million as of September 30, 2025 (P5,486 million as of December 31, 2024) which consists of computer software and cloud-based applications used in the business.

On the other hand, total liabilities largely refer to interest-bearing loans and trade and other payables, which amounted to P192,506 million and P90,195 million, respectively, as of September 30, 2025 (P184,394 million and P84,108 million, respectively, as of December 31, 2024). Trade and other payables relate to network construction as well as operating and general administrative expenses, while interest-bearing loans include bank loans and lease liabilities from right-of-use sites. Accrued project costs refer to construction materials and services received based on percentage of completion but not yet billed to the Group. The majority of the outstanding accrued project costs refer to EPC services provided by FutureNet and Technology Corporation (FNT). In 2025, the Group also obtained additional advances from shareholders and minority shareholders totaling to P10.5 billion to further support the Group's operations.

The equity share-swap transaction between DITO CME and UCME is accounted for as a capital reorganization under a common control transaction following the guidance provided by PFRS. For this purpose, the legal parent, DITO CME, is identified as the acquiree for accounting purposes because DITO CME did not meet the definition of a business and based on the substance of the transaction, the legal subsidiary, UCME, is adjudged to be the entity that gained control over the legal parent and was thus deemed to be the acquirer for accounting purposes. Accordingly, the consolidated financial statements of DITO CME Group have been prepared as a continuation of the consolidated financial statements of the UCME Group.

Furthermore, in November 2024, the Company executed a Subscription Framework Agreement with Summit Telco Corporation Pte. Ltd. (Summit Telco) to subscribe up to 9 billion primary common shares of the Company, subject to the execution of subscription agreements containing the terms and conditions of the relevant subscription and share issuance. The implementation of Summit Telco's potential investment under the Subscription Framework Agreement, along with other equity raising efforts, forms part of the Company's business plan to improve its equity position. The investment is subject to compliance with Philippine regulatory requirements, such as requirements of the Securities and Exchange Commission and the Philippine Stock Exchange.

In September 2023, the Group signed a fifteen (15) year loan agreement with several creditors divided into US\$600.0 million (CNY4,266.0 million) and US\$3,297.0 million, in CNY and USD tranches, respectively. As of September 30, 2025, the Group has drawn CNY2,561.4 million (P20,875.2 million) and US\$3,241.2 million (P188,126.8 million) from the loan facilities. These funds were utilized to repay the outstanding bridge loan and network construction-related payables.

As of September 30, 2025 and December 31, 2024, the Group reported a capital deficiency of P95,312 million and P73,390 million, respectively. This was primarily attributable to the net loss recognized by the Group driven by substantial fixed operating expenses, depreciation and amortization and finance costs related to syndicated loans. Despite the reported capital deficiency, management is confident in the Group's ability to continue as a going concern based on its ability to generate sufficient cash flows to meet its maturing obligations.

To achieve this, the Company continues to ramp up its commercial operations through targeted subscriber acquisition and promotional activities aimed at increasing revenue and cash inflow. Also, the Company will continue to efficiently implement its network rollout plan and cost-saving measures to improve the results of operations. In addition, to fund the Company's expenditures related to the construction of the network, the Company secured the project finance loan facility amounting to US\$3.9 billion (P217.4 billion), signed on September 20, 2023. In addition, the related parties, through the Project Coordination Deeds, will also cooperate through the extension of payments of the EPC-related obligations.

Moreover, in August 2023, the Parent Company raised an additional P5.5 billion through private placements with certain third-party investors, of which proceeds were used to fund DITO Tel's network expansion and operations. Furthermore, the Group received a shareholder loan from non-controlling interest to address operating expenses and maturing obligations. In December 2024, the Company conducted a successful follow-on offer (FOO) issuing 1,953,500,000 common shares, raising P2.05 billion in gross proceeds. The FOO was fully subscribed with strong demand from institutional investors as well as continued support from DITO's retail investor base. The proceeds were allocated for DITO Tel's network expansion and for general corporate purposes.

To further strengthen its capital position, the Company entered into a Subscription Framework Agreement with Summit Telco. In addition, Udenna Corporation, the Group's ultimate parent company, along with Summit Telco, and the minority shareholders of DITO Tel remain supportive in providing additional capital, when necessary, particularly in accelerating network growth for any identified opportunities.

Comparable discussion on Material Changes in Results of Operations for the nine-month periods ended September 30, 2024 and 2023.

Financial Performance (In millions - Php)	September 30,		Change	%
	2024	2023		
Revenues	11,892	8,078	3,814	47%
Cost and expenses				
Cost of inventories sold and used	952	430	522	121%
General, selling and administrative expenses	10,169	7,510	2,659	35%
Depreciation and amortization	10,557	9,737	820	8%
Sub-total	21,678	17,677	4,001	23%
Operating loss	(9,786)	(9,599)	(187)	-2%
Other charges - net	(16,060)	(3,358)	(12,702)	-378%
Loss before tax	(25,846)	(12,957)	(12,889)	-99%
Tax expense	(10)	-	(10)	-100%
Net loss	(25,856)	(12,957)	(12,899)	-100%
Add back:				
Foreign currency exchange losses (gains) - net	1,551	(2,874)	4,425	-154%
Depreciation and amortization	10,557	9,737	820	8%
Interest expense	14,495	6,248	8,247	132%
Interest income	(20)	(17)	3	18%
Tax expense	10	-	10	-100%
EBITDA	737	137	606	442%

For the nine-month periods ended September 30, 2024 and 2023, the Group consolidated net loss after tax was P25,856 million and P12,957 million, respectively, while EBITDA was P737 million in 2024 as compared to P137 million in 2023. The significant improvement in the Group's EBITDA was a result of the continuous growth in the Group's consolidated revenues offset by operating costs.

Consolidated net revenues, which are mainly generated by DITO Tel, soared to P11,892 million in the nine-month period of 2024 from P8,078 million in the nine-month period of 2023. By end of September 2024, DITO Tel has a total of 13 million mobile and FWA subscribers with blended average revenue per user (ARPU) of P119 and P296 for mobile and FWA, respectively.

Network coverage also increased from 843 to 886 cities and municipalities as of September 30, 2024 while population coverage is at 86.3%, an improvement from the 81.1% at the beginning of the year.

The majority of the Group's revenue is derived from operations within the Philippines with no single customer exceeding ten percent (10%) of total revenues. The Group generates revenue by providing mobile services to subscribers in prepaid and postpaid arrangements such as data, voice, SMS, over-the-top (OTT), FWA and others, which are broken down as follows:

Revenue Summary (In millions - Php)	September 30, 2024		September 30, 2023	
	Amount	%	Amount	%
Mobile	11,239	94%	8,231	102%
Data	8,887	75%	5,806	72%
SMS	878	7%	988	12%
Voice	1,474	12%	1,437	18%
Fixed Wireless Access	197	2%	11	0%
VAS/OTT/Others	1,360	11%	654	8%
Gross Service Revenues	12,796	107%	8,896	110%
Less: Discount	(1,334)	-11%	(885)	-11%
Net Service Revenues	11,462	96%	8,011	99%
Net Non-Service Revenues	430	4%	67	1%
Net Revenues	11,892	100%	8,078	100%

Depreciation and amortization amounted to P10,557 million (P9,737 million in 2023) mainly due to the significant capital expenditures during the year as part of DITO Tel's continued focus on increasing network coverage nationwide and complying with the commitments made for the fifth and final technical audit. In 2023, DITO Tel passed its fourth technical audit which was conducted in July of that year. The audit showed that the company reached a population coverage of 80.65%, surpassing the commitment of 80.01%. Moreover, DITO Tel continued to generate minimum average broadband speeds of 74.97 Mbps for 4G and 639.32 Mbps for 5G, strongly surpassing the minimum average 55 Mbps commitment. The increase can be further attributed to the increase in volume of accepted assets and right of use contracts during the year, which are mostly comprised of network sites, cables, IBS, towers, officers and stores.

General, selling, and administrative expenses for the nine-month period ended September 30, 2024 amounted to P10,169 million as compared to P7,510 million in the same period of 2023, mainly due to the rise of operating costs of DITO Tel as a result of its continuous commercial rollout during the year.

General, selling, and administrative expenses are comprised of the following:

- *Repairs and maintenance and utilities* increased by P251 million or 14%, includes network maintenance, cybersecurity services, cable maintenance, light and power expenses. The increase was brought by the increase in number of accepted sites and lighted sites.
- *Light and water* increased by P598 million or 45%, mainly due to the increase in electricity consumption due to the higher number of lighted sites during the period.

- *Salaries and employee benefits* totaled P1,337 million which mainly include short term employee benefits, commissions and incentives, and retirement obligations. As of September 30, 2024, the Group has around 1,352 employees.
- *Outside service, professional fees, and consultancy fees* amounted to P1,596 million which include but are not limited to the following: legal and advisory, security, competition analysis, network lease and marketing and branding, among others, which are expected as part of the commercial rollout of DITO Tel.
- *Taxes and licenses* increased by P109 million or 9% mainly due to higher sites as of September 30, 2024, additional NTC Spectrum User Fee (SUF) temporary 3G license granted to the Company covering the nine-month period of 2024, business and LGU taxes on increasing count of sites.
- *Advertising, marketing expenses, and promotions* increased by P347 million mainly due to an increase in digital and advertising expenses, conversion and digital campaigns; extensive marketing campaign activities on radio and sales and marketing events and promotions in 2024.
- *Rent expense* amounted to P433 million which mainly refers to cable leases.
- *Insurance* amounted P377 million refers to all risk, comprehensive general liability, submarine cable and political violence and additional insurance requirement for compliance in loan syndication

Other charges amounted to net charges of P16,060 million in the nine-month period 2024 as compared to P3,358 million in the same period of 2023. The Group reported foreign currency exchange loss of P1,551 million from translating foreign currency denominated interest-bearing loans and trade payables in 2024 as compared to foreign currency exchange gain of P2,874 million in 2023. Interest expense, primarily arising from interest on the interest-bearing loans as a result of drawdowns made in 2024, amortization of lease liabilities, and interests on advances and contractor payables amounted to P14,495 million in 2024 as compared to P6,248 million in 2023. Interest income, on the other hand, mainly refers to interest charges of the Group's outstanding receivable from its related parties and its bank deposits.

Comparable discussion on Material Changes in Financial Condition for the periods ended September 30, 2024 and December 31, 2023.

Financial Position (In millions - Php)	September 30, 2024	December 31, 2023	Change	%
Current assets	7,249	6,007	1,242	21%
Non-current assets	208,030	206,466	1,564	1%
Total Assets	215,279	212,474	2,805	1%
Current liabilities	77,326	72,665	4,661	6%
Non-current liabilities	198,179	175,183	22,996	13%
Total Liabilities	275,505	247,848	27,657	11%
Total Capital Deficiency	(60,226)	(35,374)	(24,852)	70%

The Group's total assets slightly increased to P215,279 million from P212,474 million as of September 30, 2024 and December 31, 2023, respectively. The increase was mainly attributable to the continued expansion programs which are focused on increasing network coverage nationwide and maintaining network superiority.

Consolidated current assets increased by 21% to P7,249 million from P6,007 million as of September 30, 2024 and December 31, 2023, respectively mainly from increase in Prepayments and other current assets, which include input VAT - net on purchased goods and services and from the increase in cash from collections, additional loan drawdowns and equity infusions from shareholders and minority shareholders, offset by payments made to contractors and suppliers.

Consolidated non-current assets, which mainly consist of property and equipment and other non-current assets, slightly increased by P1,564 million. Property and equipment and right of use assets, which amounted to P184,291 million as of September 30, 2024 as compared to P182,109 million as of December 31, 2023, include accepted assets in the network rollout project and leased sites. This also includes intangible assets amounting to P4,428 million which consist of computer software and cloud-based applications used in the business. Furthermore, other non-current assets, amounting to P19,055 million, include deferred charges, advance rental payments for transmission facilities with various cable, fiber and site leases, deferred input VAT from higher purchase transactions related to network rollout project and advance payment for the purchase of cables (as required by the terms of contract). This decreased by P1,986 million in 2024 mainly due to the reclassification of deferred financing costs related to loan drawdowns.

On the other hand, total liabilities largely refer to interest-bearing loans and trade and other payables, which amounted to P201,578 million and P73,869 million, respectively, as of September 30, 2024 (P178,154 million and P69,628 million, respectively, as of December 31, 2023). Trade and other payables relate to network construction and related to operation and general admin expenses, while interest bearing loans include bank loans and lease liabilities from right of use sites. Accrued project costs refer to construction materials and services received based on percentage of completion but not yet billed to the Group. Majority of the outstanding accrued project costs refer to EPC services with FutureNet and Technology Corporation (FNT). In 2024 and 2023, the Group also obtained additional advances from shareholders and minority shareholders totaling P2.8 billion and P4.8 billion, respectively, to further support the Group's operations.

On September 20, 2023, the Group signed a fifteen (15) year loan agreement with several creditors divided into US\$600.0 million (CNY4,266.0 million) and US\$3,297.0 million, CNY and USD tranches, respectively, loan facilities. As of September 30, 2024, the Group has drawn CNY2,374.7 million (P18,832.4 million) and US\$3,130.0 million (P175,554.5 million) from the loan facilities. The bulk of the proceeds were utilized to repay the outstanding bridge loan and network construction related payables.

As of September 30, 2024 and December 31, 2023, the Group reported a capital deficiency of P60,226 million and P35,374 million, respectively. This was primarily attributable to the net loss recognized by the Group driven by substantial fixed operating expenses, depreciation and amortization and finance costs related to syndicated loans. Despite the reported capital deficiency, management is confident in the Group's ability to continue as a going concern based on its ability to generate sufficient cash flows to meet its maturing obligations.

To achieve this, the Company continues to ramp up its commercial operations through targeted subscriber acquisition and promotional activities aimed at increasing revenue and cash inflow. Also, the Company will continue to efficiently implement its network rollout plan and cost-saving measures to improve the results of operations while maintaining network superiority. In addition, to fund the Company's expenditures related to the construction of the network, the Company secured the project finance loan facility amounting to US\$3.9 billion (P217.4 billion), signed on September 20, 2023. In addition, the related parties, through the Project Coordination Deeds, will also cooperate through the extension of payments of the EPC-related obligations.

Moreover, in August 2023, the Parent Company raised an additional P5.5 billion through private placements of a certain third-party investors, of which proceeds were used to fund DITO Tel's network expansion and operations. Furthermore, the Group received shareholder loan from non-controlling interest to address operating expenses and maturing obligations. Lastly, the Group has plans to do various fund-raising activities with the nine-month period of 2024, which include a follow-on offering at the Dito CME or Parent Company level, wherein proceeds will be used to fund the Group's telecommunications and digital businesses funding requirements. In addition, Udenna Corporation, the Group's ultimate parent company, and the minority shareholders of DITO Tel remain supportive in providing additional capital when necessary.

Key Performance Indicators and Relevant Ratios

The Group's key performance indicators and relevant ratios and how they are computed are listed below.

Financial Ratios	September 30, 2025	December 31, 2024
Current Ratio (Current Assets/Current Liabilities)	0.06 : 1.00	0.07 : 1.00
Asset to Equity Ratio (Total Assets/Total Equity)	-2.20 : 1.00	-2.98 : 1.00
Debt to Asset Ratio (Total Liabilities/Total Assets)	1.46 : 1.00	1.34 : 1.00
Debt to Equity Ratio (Total Liabilities/Total Equity)	-3.20 : 1.00	-3.98 : 1.00
Return on Total Assets (Net Income/Total Assets)	-11.91%	-18.73%
Return on Total Equity (Net Income/Total Equity)	-26.16%	-55.88%

These key indicators were selected to provide Management with a measure of the Group's financial strength (Current Ratio and Debt-to-Equity Ratio) and the Group's ability to maximize the value of its stockholders' investment (Return on Equity, Net Book Value per Share and Earnings per Share). Likewise, these ratios are used to compare the Group's performance with similar companies.

Despite the reported capital deficiency, Management is confident that the Group can continue as a going concern as management believes that the Group's ability to continue as a going concern is dependent upon its ability to generate sufficient cash flows to meet its maturing obligations. To achieve this, the Company continues to ramp up its commercial operations through targeted subscriber acquisition and promotional activities aimed at increasing revenue and cash inflows. Also, the Company will continue to efficiently implement its network rollout plan and cost-saving measures to improve the results of operations. In addition, to fund the Company's expenditures related to the construction of the network, the Company secured a project finance loan facility amounting to US\$3.9 billion (P217.4 billion), signed on September 20, 2023. Furthermore, the related parties, through the Project Coordination Deeds, will also cooperate through the extension of payments of the EPC-related obligations.

In 2024, the Group also obtained additional advances from minority shareholders totaling P10.5 billion to further support the Group's operations.

Furthermore, in November 2024, the Company executed a Subscription Framework Agreement with Summit Telco to subscribe up to 9 billion primary common shares of the Company, subject to the execution of subscription agreements containing the terms and conditions of the relevant subscription and share issuance. The implementation of Summit Telco's potential investment under the Subscription Framework Agreement, along with other equity raising efforts, forms part of the Company's business plan to improve its equity position. The investment is subject to compliance with Philippine regulatory requirements, such as requirements of the Securities and Exchange Commission and the Philippine Stock Exchange.

Moreover, in August 2023, the Parent Company raised an additional P5.5 billion through private placements with certain third-party investors, of which proceeds were used to fund DITO Tel's network expansion and operations. Furthermore, the Group received a shareholder loan from non-controlling interest to address operating expenses and maturing obligations. In December 2024, the Company conducted a successful follow-on offer (FOO) issuing 1,953,500,000 common shares, raising P2.05 billion in gross proceeds. The FOO was fully subscribed with strong demand from institutional investors as well as continued support from DITO's retail investor base. The proceeds were allocated for DITO Tel's network expansion and for general corporate purposes.

OTHER INFORMATION

Aging of Trade and other receivables

As of September 30, 2025, the Group's trade and other receivables totaled P968.0 million, which includes certain receivables amounting to P235.4 million that are all current and collectible within thirty (30) days.

Dividends

No dividends were declared for the periods ended September 30, 2025 and December 31, 2024.

Known Trends or Demands, Commitments, Events or Uncertainties that will impact Liquidity

The Group is not aware of any known trends, demands, commitments, events or uncertainties that will materially affect its liquidity.

Events that will trigger Direct or Contingent Financial Obligation that is material to the Company, including any default or acceleration of an obligation

The Group is not aware of other events that will materially trigger a direct or contingent financial obligation.

Material Off-Balance Sheet Transactions, Arrangements, Obligations (including contingent obligations), and Other Relationships of the Company with Unconsolidated Entities or Other Persons Created during the Reporting Period

The Group has no material off-balance sheet transactions, arrangements, obligations and other relationships with unconsolidated entities or other persons created during the period that is not included in the Audited Consolidated Financial Statements.

Material Commitments for Capital Expenditures, the General Purpose of the Commitment and Expected Sources of Funds

The Company has no material commitments for capital expenditure aside from the capital expenditure requirements for DITO Tel's continuous commercial rollout. The Group continues to ramp up its commercial operations through targeted subscriber acquisition and promotional activities aimed at increasing revenue. In addition, to fund the Group's expenditures related to the construction of the network, the Company secured the project finance loan facility amounting to US\$3.9 billion (P217.4 billion), signed on September 20, 2023. In addition, the related parties, through the Project Coordination Deeds, will also cooperate through the extension of payments of the EPC-related obligations.

Furthermore, in November 2024, the Company executed a Subscription Framework Agreement with Summit Telco to subscribe up to 9 billion primary common shares of the Company, subject to the execution of subscription agreements containing the terms and conditions of the relevant subscription and share issuance. The implementation of Summit Telco's potential investment under the Subscription Framework Agreement, along with other equity raising efforts, forms part of the Company's business plan to improve its equity position. The investment is subject to compliance with Philippine regulatory requirements, such as requirements of the Securities and Exchange Commission and the Philippine Stock Exchange.

Known Trends, Events or Uncertainties that will impact Sales / Revenues / Income from Continuing Operations

The Company is not aware of any known trends, events or uncertainties that will impact on its sales and/or income from continuing operations.

DITO CME HOLDINGS CORP. AND SUBSIDIARIES
(A Subsidiary of Udenna Corporation)
FINANCIAL SOUNDNESS INDICATORS
SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	September 30, 2025		September 30, 2024	
I. CURRENT/LIQUIDITY RATIOS				
Current Ratio				
Current Assets	6,082,776,567		7,248,718,330	
Current Liabilities	96,118,904,179	0.06	77,326,296,501	0.09
Acid Test Ratio				
Current Assets - Inventories and				
Other Current Assets	1,437,319,588		1,581,268,517	
Current Liabilities	96,118,904,179	0.01	77,326,296,501	0.02
II. SOLVENCY RATIOS				
Debt-to-assets Ratio				
Total Liabilities	304,645,011,679		275,505,673,776	
Total Assets	209,332,891,607	1.46	215,279,265,478	1.28
III. DEBT-TO-EQUITY RATIO				
Debt-to-equity Ratio				
Total Liabilities	304,645,011,679		275,505,673,776	
Total Equity	(95,312,120,072)	(3.20)	(60,226,408,298)	(4.57)
ASSET-TO-EQUITY RATIO				
Asset-to-equity Ratio				
Total Assets	209,332,891,607		215,279,265,478	
Total Equity	(95,312,120,072)	(2.20)	(60,226,408,298)	(3.57)
IV. INTEREST RATE COVERAGE RATIO				
Interest Coverage Ratio				
EBITDA	1,564,644,345		737,073,859	
Interest Expense	12,820,076,695	0.12	14,494,603,669	0.05
V. PROFITABILITY RATIOS				
Return on equity				
Net Loss	(24,934,499,327)		(25,856,609,243)	
Total Equity	(95,312,120,072)	0.26	(60,226,408,298)	0.43
Return on assets				
Net Loss	(24,934,499,327)		(25,856,609,243)	
Total Assets	209,332,891,607	(0.12)	215,279,265,478	(0.12)
Net Profit Ratio				
Net Loss	(24,934,499,327)		(25,856,609,243)	
Total Revenues	14,923,194,136	(1.67)	11,891,652,935	(2.17)
Gross Profit Ratio				
Gross Profit	13,769,709,800		10,939,978,041	
Total Revenues	14,923,194,136	0.92	11,891,652,935	0.92
EBITDA Margin				
EBITDA	1,564,644,345		737,073,859	
Total Revenues	14,923,194,136	10.48%	11,891,652,935	6.20%
VI. OTHER RATIOS				
Book Value Per Share				
Total Equity	(95,312,120,072)		(60,226,408,298)	
Number of Shares Outstanding	21,488,500,000	(4.44)	19,535,000,000	(3.08)
Net Loss Per Share				
Net Loss	(24,934,499,327)		(25,856,609,243)	
Weighted Average No. of Shares	21,488,500,000	(1.16)	19,535,000,000	(1.32)



SIGNATURES

Pursuant to the requirements of Section 17 of the Code and Section 141 of the Corporation Code, the issuer has duly caused to be signed on its behalf by the undersigned thereunto duly authorized.

DITO CME HOLDINGS CORP.

By:

Dennis A. Uy
Chairman of the Board

Donald Patrick L. Lim
President

Leo Benedict D. Venezuela
Chief Financial Officer

Atty. Leandro E. Abarquez
Corporate Secretary

Signed this 14 day of NOV, 2025.